Kenya 2026 Economic Outlook

Strategic Insights for Organizations Operating in Kenya

Econsult Africa

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Real Decisions.

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Unlocking the signals shaping Kenya's economy

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ABBREVIATIONS & ACCRONYMS

AGOA — African Growth and Opportunity Act
ASEAN — Association of Southeast Asian Nations
BoE — Bank of England
BoP — Balance of Payments
CBK — Central Bank of Kenya
CBR — Central Bank Rate
CPI — Consumer Price Index
ECB — European Central Bank
EM — Emerging Markets
ENSO — El Niño–Southern Oscillation
EU — European Union
EAC — East African Community
FDI — Foreign Direct Investment
Fed — United States Federal Reserve
FY — Fiscal Year
FX — Foreign Exchange
GDP — Gross Domestic Product
IMF — International Monetary Fund
ICPAC — IGAD Climate Prediction and Applications Centre
IGAD — Intergovernmental Authority on Development
IT — Information Technology
KES — Kenyan Shilling
KNBS — Kenya National Bureau of Statistics
KMD — Kenya Meteorological Department
MAM — March–April–May Rainy Season
Moody's — Moody's Investors Service
NPL — Non-Performing Loan
NSE — Nairobi Securities Exchange
ODA — Official Development Assistance
PE — Private Equity
RBCPM — Risk-Based Credit Pricing Model
SGR — Standard Gauge Railway
S&P — S&P Global Ratings
SME — Small and Medium-Sized Enterprise
U.S. — United States
USD — United States Dollar
WTO — World Trade Organizatio

EXECUTIVE SUMMARY

Fragile Stabilization or Structural Inflection?

I. THE PARADOX OF COMFORTABLE NUMBERS

On paper, Kenya's economy in early 2026 stands as a macroeconomic exception in an otherwise tepid global landscape. With GDP growth projected by the Central Bank of Kenya (CBK) to pick up to 5.5% in 2026, the nation is significantly outstripping the Sub-Saharan African average of 4.6% and comfortably exceeding the global growth projection of 3.3% (Central Bank of Kenya [CBK], 2026a; International Monetary Fund [IMF], 2026). This expansion is anchored by a shilling that has remained remarkably tethered to the dollar for sixteen months and foreign exchange reserves that have swelled to a ten-year high of $12.2 billion (end-2025). All three major rating agencies have upgraded the sovereign in the past twelve months (S&P Global, 2025; Moody's, 2026; Fitch, 2025). By the conventional macroeconomic scorecards, Kenya appears to have navigated the turbulence of 2023–24 and emerged into a period of credible macroeconomic stability.

Yet beneath these composite numbers lies a more disquieting reality. While Kenya's headline inflation sits at a stable 4.4%—comfortably within the Central Bank's 2.5% to 7.5% target range and marking a six-month low in the current cooling trend—this figure conceals a stark inflation inequality. With food prices climbing at 7.3%—nearly double the headline rate—the poorest forty percent of Kenyan households, who spend roughly half their income on meals, face a cost-of-living crisis far more severe than the official data suggests. For them, the 'stable' economy remains a theoretical concept as non-core inflation for essentials continues to hover in the double digits.

Since August 2024, the Central Bank of Kenya has slashed rates across ten consecutive meetings—an unbroken 425-basis-point marathon that marks the deepest and most sustained easing cycle in the institution's history. Yet, while the CBK's intent to jumpstart the economy has been relentless, the transmission to the street has stalled in a visible 'last-mile' failure. While the policy rate fell from 13.00% in August 2024 to 8.75% in February 2026, commercial lending rates only tracked barely half of that descent, dropping by just 2.4 percentage points—from a peak of 17.2% in August 2024 to roughly 14.8% by February 2026 (CBK, 2026a). For the average Kenyan business or household, this means that while the regulator has offered a historic flood of relief, the banking sector has allowed only a trickle to reach their bottom line.

The arithmetic of Kenya's recovery masks a hollowed-out core. Debt service now cannibalizes a staggering 81.1% of tax revenue, with expenditures reaching KSh 941 billion in the first half of the 2025/26 financial year alone (The National Treasury, 2026b). This surge has left capital expenditure to wither at twenty-year lows, projected at just 3.5% of GDP as the state prioritizes debt sustainability over new investment (The National Treasury, 2026a). This fiscal desperation is underscored by the latest government's $2.25 billion dual-tranche Eurobond issuance in February 2026; while the weighted average yield of approximately 8.4% (7.875% on the seven-year tranche and 8.700% on the twelve-year tranche) successfully averted a near-term liquidity crunch, it locks the Treasury into a high-cost 'risk premium' that perpetuates the cycle of expensive refinancing (The National Treasury, 2026b). This suggests a state no longer borrowing to build the future, but merely to subsidize the ghost of its past. As manufacturing's share of GDP continues its decades-long secular decline, currently estimated at approximately 7–8% of GDP, the link between national productivity and people's livelihoods has severed. Consequently, youth unemployment—estimated as high as 67% for those under 35—remains structurally orphaned from the very GDP figures it is supposed to drive, rendering the promise of a 5.3% growth rate an abstraction to a generation locked out of the formal economy.

Ultimately, the goal of this report is to move beyond the superficial reassurance of top-line statistics to conduct a forensic audit of Kenya's structural health. The central inquiry is not whether the GDP numbers are improving—their upward trajectory is self-evident—but whether this stabilization constitutes a genuine recovery runway capable of sustaining +5.5% growth, or merely a fragile, temporary equilibrium. By interrogating the transmission gaps in monetary policy and the fiscal crowding-out of the private sector, and by grounding our analysis in established economic theory, we evaluate whether the current foundations are deep enough to withstand the inevitable shocks of 2026. What follows is a deep dive into the mechanical disconnect between a surging GDP and a stagnating citizenry, seeking to determine if Kenya's growth is built to last or simply built to look good.

II. THE EXTERNAL ENVELOPE

Kenya's 2026 strategic options are dictated by a global environment that offers modest tailwinds but remains vulnerable to significant downside shocks. The IMF projects world growth at 3.3% (IMF, 2026); while this is sufficient to sustain demand for Kenyan exports, it remains a pale shadow of the 3.7% average recorded in the pre-pandemic decade (2010–2019), suggesting a global economy that is stabilizing but not yet thriving. This tepid growth is complicated by a high-interest-rate environment in the West. The U.S. Federal Reserve remains paused at 3.50–3.75% (Federal Reserve, 2026a), with markets pricing in a cautious path of zero to two cuts through year-end. This 'higher-for-longer' stance maintains a narrow interest rate differential between Nairobi and Washington, which traditionally risks capital flight—a phenomenon where investors pull their 'hot money' out of emerging markets like Kenya to seek the safety of higher, guaranteed returns in U.S. Treasury bonds.

Most recently, Kenya's trade stability faces an acute threat from the Trump administration's 15% universal baseline tariff. This levy has created a 'purgatory' period for exporters: although the U.S. recently extended the African Growth and Opportunity Act (AGOA) through 2026, the new baseline tariff effectively overrides these historical duty-free benefits[1]. While the U.S. Supreme Court recently ruled such broad tariffs unconstitutional, it granted a 150-day stay, leaving Kenya's top export market expensive and unpredictable through mid-2026 while the administration seeks a legislative remedy.

In contrast, the European Central Bank (ECB) has held its key deposit rate steady at 2.0% (European Central Bank, 2026), a move that anchors demand in the Eurozone—Kenya's most vital export market for high-value horticulture and tea. This stability is critical for the approximately KSh 200 billion in annual exports to the EU, ensuring that a stable Euro continues to support the earnings of farmers in the Rift Valley and Central Kenya. Similarly, the Bank of England's decision to hold rates at 3.75%

[1] The African Growth and Opportunity Act, originally enacted by the U.S. Congress in 2000, provides eligible Sub-Saharan African countries with duty-free access to the U.S. market for approximately 1,800 product lines beyond standard GSP provisions. Kenya's textile and apparel export sector was built substantially on AGOA preferences. The programme expired in September 2025 and has been re-authorised on a one-year basis pending comprehensive review, creating significant uncertainty for the sector's investment planning horizon.

(Bank of England, 2026) directly impacts the United Kingdom, which recently overtook Saudi Arabia as Kenya's second-largest source of diaspora remittances at $360.2 million annually.

As the U.S. pivots toward protectionism, China's role as Kenya's 'lender of last resort' and primary infrastructure partner is being redefined. Following the 2024 FOCAC summit, Beijing has shifted from 'mega-projects' like the SGR to 'Small yet Beautiful' green energy and digital investments (Ministry of Foreign Affairs of the PRC, 2025). This pivot provides Kenya with vital technical support, but it also deepens a strategic dependency. While the West raises trade barriers, China is deepening its integration into the Kenyan 'hollowed-out' core by financing the very manufacturing zones that the U.S. tariffs now threaten to isolate. However, China's structural deceleration to 4.5 percent growth (IMF, 2026), driven by property sector distress and weak consumption, dampens commodity demand and constrains the infrastructure financing that has been a feature of China-Kenya relations over the past decade.

Consequently, Kenya's economic trajectory in 2026 will be determined as much by global power dynamics as by domestic reform, demanding a calibrated response to a protectionist West and a strategically expanding East.

III. THE DOMESTIC ARCHITECTURE

This report's base case for 2026 GDP growth is **5.2 percent** — which is marginally above the IMF's 4.9 percent estimate (IMF, 2026), but below the Central Bank of Kenya's 5.5 percent projection (CBK, 2026). While the CBK's outlook appropriately emphasizes supply-side normalization and improving external stability, our assessment places relatively greater weight on fiscal constraints and the incomplete transmission of monetary easing, which may temper the pace of acceleration. In our analysis, the GDP growth composition matters more than the GDP growth rate. Services contribute 2.5 to 2.8 percentage points annually—financial services, ICT, transport, and the surging accommodation sector—providing a diversified, relatively climate-resilient base (KNBS, 2025). Agriculture contributes 1.2 to 1.3 percentage points but has decelerated from 6.0 percent in Q1 2025 to 3.2 percent in Q3 as rainfall deteriorated. Industry contributes an inadequate 0.5 to 0.7 percentage points, with manufacturing growing at roughly two percent—well below headline GDP—confirming a pattern of premature deindustrialization[2] that Dani Rodrik's framework would predict at Kenya's per capita income level (Rodrik, 2016).

The inflation regime is best understood as three distinct price dynamics operating simultaneously. Core inflation at 2.6 percent reflects subdued demand-side pressure—confirming the economy operates below potential and giving the CBK latitude to ease. Food inflation at 7.3 percent is supply-driven, climatically determined, and disproportionately borne by low-income households—outside the central bank's direct influence and politically incendiary (KNBS, 2026). Administered energy prices benefit from the global oil tailwind, providing disinflationary support. The central bank has chosen to "look through" the food supply shock rather than tighten into it—the correct textbook response for a supply-side disturbance, but one whose political tolerance has limits as the 2027 election approaches.

[2] Premature deindustrialization refers to the phenomenon where developing countries experience declining manufacturing employment and output shares at income levels significantly below those at which advanced economies began deindustrialising. Rodrik (2016) documented this pattern across Sub-Saharan Africa and Latin America, arguing it forecloses the traditional industrialisation pathway to structural transformation.

Monetary transmission remains the critical bottleneck. The CBK has delivered ten consecutive rate cuts totalling 425 basis points since August 2024—the longest and deepest easing cycle in Kenya's history (CBK, 2025)—yet average commercial lending rates have declined by only approximately 220 basis points, implying a pass-through rate of roughly fifty percent. Three structural factors explain the gap: elevated non-performing loans at 15.5 percent make banks risk-averse in their lending decisions (CBK, 2025); government domestic borrowing—projected at eighty-two percent of gross borrowing through the medium term (National Treasury, 2025)—crowds out private credit by absorbing available liquidity into government securities; and an oligopolistic banking structure enables what some practitioners term "lazy banking," where Treasury bills offer risk-free returns that disincentivize the effort and risk of productive lending. The Risk-Based Credit Pricing Model (RBCPM)[3] launching on March 1, 2026—replacing the opaque CBR-based framework with transparent Kenya Shilling Overnight Interbank Average (KESONIA)[4]-based pricing—represents the most significant structural reform in Kenya's credit architecture in decades, but its near-term transmission impact is uncertain.

The external position is the strongest pillar of the stabilization story. Forex reserves of $12.46 billion provide 5.37 months of import cover—the highest in at least a decade (CBK, 2026a). The shilling's stability at 129 per dollar for sixteen consecutive months, following the dramatic 21 percent appreciation from the 160 crisis peak in early 2024, provides a credible nominal anchor. Diaspora remittances exceeded five billion dollars for the first time, constituting the single largest source of foreign exchange—surpassing tea, coffee, horticulture, and tourism combined (CBK, 2025). The balance of payments recorded a surplus in 2025 and is projected to remain in surplus through 2027. However, this external strength masks a fiscal position that is structurally exhausted: public debt at 67.8 percent of GDP, interest payments exceeding one trillion shillings annually, interest-to-revenue at thirty to thirty-five percent, and debt service absorbing fifty-three percent of total government revenue (including grants)—or 81.1% when measured against tax revenue alone (National Treasury, 2025). The rating agencies upgraded Kenya's likelihood of default; they did not upgrade its fiscal trajectory.

IV. THE POLITICAL VARIABLE

The August 2027 general election is not an exogenous risk to the macroeconomic forecast—it is an endogenous feature of it. Kenya's historical pattern of pre-election fiscal expansion is well-documented and has been confirmed by IMF surveillance (IMF, 2025b): election years produce an additional 1.0 to 1.5 percent of GDP in government spending, rarely reversed after the polls. In 2026, this political business cycle[5] collides with a government whose fiscal room for maneuver has been sharply

[3]The RBCPM, effective March 1, 2026, replaces the previous CBR-linked pricing framework with one anchored to the Kenya Overnight Interbank Average (KESONIA) rate. Under the new model, commercial banks must price loans as KESONIA plus a transparent risk premium based on borrower credit risk, funding costs, and operating costs—rather than the opaque CBR-plus-margin system that enabled wide and sticky lending spreads.

[4]The KESONIA rate is a risk-free overnight reference rate calculated from actual interbank transactions. Its adoption as the lending benchmark aligns Kenya with international best practice following the global transition from LIBOR-style reference rates to transaction-based alternatives (such as SOFR in the United States and SONIA in the United Kingdom).

[5]The political business cycle theory, formalised by Nordhaus (1975), predicts that incumbent governments will pursue expansionary fiscal and monetary policies before elections to boost short-term economic performance, accepting higher post-election inflation and fiscal deficits as the cost. Kenya's electoral history strongly validates this prediction, with fiscal deficits averaging 1.0–1.5 percentage points of GDP wider in election years relative to non-election years.

constrained by two events: the June 2024 Gen Z protests[6], which forced the withdrawal of the Finance Bill and permanently closed the window for headline tax increases before the election; and the March 2025 expiry of the IMF's Extended Credit and Extended Fund Facilities, which both sides agreed not to renew after the ninth review was not completed, costing Kenya approximately $1.6 billion in concessional financing.

The result is a fiscal-political trap. The government needs fiscal consolidation to stabilize debt dynamics and satisfy creditors, but every consolidation instrument—tax increases, subsidy removal, spending compression—carries political costs that the administration is unwilling to bear eighteen months before seeking re-election. The FY2026/27 budget, expected in June, will formally target a deficit of 3.9 to 4.5 percent of GDP; the actual outturn, based on historical patterns and rating agency assessments (S&P Global, 2025; Fitch, 2025), will settle at 5.0 to 5.8 percent. Fiscal consolidation will not occur in 2026. This is not a prediction of failure—it is a recognition that the political economy framework renders genuine consolidation arithmetically implausible in a pre-election year (Nordhaus, 1975).

President Ruto's strategy—coalition expansion through the UDA-ODM alliance, opposition fragmentation following Raila Odinga's death, and visible delivery through Affordable Housing and TaifaCare[7]—carries fiscal implications at each node: coalition maintenance requires patronage spending, visible delivery requires capital expenditure front-loading, and political resource allocation displaces economically optimal allocation. Youth unemployment of forty to sixty-seven percent and the institutional memory of the 2024 protests—when Parliament was stormed and dozens were killed—create latent social instability that constrains policy options and elevates the political premium on every economic decision.

V. SECTORAL VALIDATION

Three sectors validate the stabilization thesis. Financial services—with capital adequacy at 19.9 percent, declining non-performing loans, and the RBCPM reform—remain well-capitalized and positioned to benefit from continued monetary easing. Construction has rebounded sharply, with cement consumption up 16.2 percent and credit to the sector surging fifty-one percent year-on-year, driven by both resumed public infrastructure and the Affordable Housing program (KNBS, 2025). Horticulture—particularly cut flowers, where Kenya supplies thirty-eight percent of EU imports from climate-controlled facilities—has grown 36.2 percent by volume in Q3 2025 and represents Kenya's most structurally competitive agricultural export (KNBS, 2025).

Three sectors contradict it. Manufacturing's secular decline—from roughly thirteen percent of GDP in the early 2000s to approximately eleven percent today at below two thousand dollars per capita income—confirms premature deindustrialization and the absence of the industrial deepening that East

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[6] In June 2024, widespread protests led primarily by young Kenyans ("Generation Z") erupted against the Finance Bill 2024, which proposed tax increases on bread, cooking oil, and mobile money transactions. The protests escalated to the storming of Parliament on June 25, 2024, with over 40 fatalities reported. President Ruto withdrew the Bill and dissolved the Cabinet. The episode permanently constrained the government's ability to pursue revenue-raising measures ahead of the 2027 election.

[7] TaifaCare (formerly the Social Health Authority, SHA) is Kenya's universal health coverage programme launched in October 2024 to replace the National Health Insurance Fund (NHIF). The programme provides subsidised health insurance coverage and is a flagship initiative of the Ruto administration's social delivery agenda. Its fiscal footprint and implementation challenges represent both a political asset and a budgetary commitment in the pre-election period.

Asian economies achieved at equivalent income levels (Rodrik, 2016). Traditional agriculture remains hostage to rainfall, with tea output declining eleven percent in 2025 and coffee exports collapsing in Q3 to less than half their Q3 2024 level (KNBS, 2025), reflecting the severe failure of the October–December short rains. While heavier-than-expected rainfall has begun in February 2026 as La Niña conditions weaken, the recovery now hinges on whether precipitation persists through the March–April planting window without tipping into disruptive flooding. The textile and apparel sector, dependent on AGOA preferential access that is now subject to a one-year reauthorization and overshadowed by blanket ten-percent tariffs (now revised upwards by President Trump to fifteen percent), faces existential uncertainty. The digital economy and mobile money ecosystem—globally distinctive with 84.8 percent financial inclusion—provides a genuine structural floor but cannot substitute for the employment-intensive industrialization Kenya's demographic profile demands.

VI. SCENARIOS AND PROBABILITIES

Baseline (50–55% probability): GDP growth of 5.2 percent, headline inflation of 4.5 to 5.0 percent, CBR terminal rate of 7.75 to 8.25 percent, KES stable at 128–131 per dollar, fiscal deficit of 5.0 to 5.5 percent of GDP. March-May rains are adequate, RBCPM launches without severe disruption, pre-election spending is contained within historical norms. This scenario sustains the stabilization narrative through 2026 without resolving structural constraints.

Upside (20–25% probability): GDP growth of 5.4 to 5.5 percent, inflation below 4.5 percent. Requires above-normal rains, RBCPM-driven lending rate compression to below 13.5 percent, successful IMF program negotiation, and restrained fiscal expansion. This scenario would validate the CBK's optimistic assessment and could trigger a virtuous cycle of improved credit, investment, and revenue collection.

Downside (20–25% probability): GDP growth below 4.5 percent, food inflation above 10 percent. Triggered by: March-May rains failure combined with any of—an emerging market risk-off event, an oil price spike above eighty dollars, or a disorderly fiscal expansion exceeding 6 percent of GDP. This scenario activates the climate-inflation-monetary cascade, forcing the CBK to pause or reverse easing, killing the credit recovery, widening the deficit, and potentially triggering a rating agency negative outlook. It is the scenario in which fragile stabilization breaks.

The probability-weighted GDP outcome is 5.0 to 5.2 percent, with the distribution skewed toward downside surprises. The asymmetry arises because the upside scenario requires multiple favourable conditions to coincide, while the downside can be triggered by a single adverse shock propagating through Kenya's interconnected vulnerability channels.

VII. THE VERDICT

> *Stable enough to function, too fragile to transform.*

This report classifies Kenya's 2026 macroeconomic trajectory as a fragile stabilization. This is not a hedged or tentative characterization. It is the only classification consistent with the full body of evidence assembled across this report's thirty-five analytical subsections.

The four alternative characterizations were tested and rejected. *Expansionary window* requires fiscal space and transmission effectiveness that do not exist. *Structural inflection* requires manufacturing recovery and employment generation that are absent. *Capital opportunity window* overstates the risk-adjusted return in a B/B3/B-rated sovereign with compressed spreads and asymmetric downside. *Political-risk constrained recovery* correctly identifies the political overlay but mischaracterizes the underlying economics as "recovery" when the structural dynamics are closer to a development trap—growth that is sufficient to prevent crisis but insufficient to fund the public investment, human capital formation, and institutional reform needed to shift the economy onto a higher trajectory.

Kenya is caught in the equilibrium that development economists recognize as the middle-income aspiration trap[8] (Collier, 2007): macro indicators stable enough to avoid crisis, credit ratings improving enough to maintain market access, growth rates high enough to satisfy consensus forecasts, but none of these sufficient to close the gap between what the economy produces and what the population needs. The stabilization is real. It should not be dismissed. But it should not be confused with transformation.

VIII. IMPLICATIONS

For Policymakers

1. Defend the monetary transmission reform. The RBCPM is the single most consequential structural reform available in 2026. Its success or failure in narrowing the 600-basis-point gap between the policy rate and lending rates will determine whether 425 basis points of easing reach the real economy or dissipate in bank margins and government securities portfolios. Enforcement must be rigorous and anti-competitive pricing referred to the Competition Authority.

2. Pre-position for the climate outcome. The March-May long rains are the most important near-term variable in Kenya's macro trajectory. Contingency planning—humanitarian pre-positioning, emergency tariff-free food imports, strategic grain reserve activation, and a clear CBK communication framework for "looking through" the supply shock—must be completed before the rains begin, not after they fail.

3. Pursue an IMF program with politically survivable conditionality. As of February 2026, Kenya is actively renegotiating a new IMF program after the collapse of its previous 2021-2025 Extended Fund Facility/Extended Credit Facility (EFF/ECF) arrangement. Expenditure efficiency reforms,

[8] Distinguished from the conventional "middle-income trap" (which applies to countries at $5,000–$15,000 per capita), the middle-income aspiration trap describes countries like Kenya (at approximately $2,100 per capita) that exhibit the institutional complexity and policy sophistication of middle-income economies but lack the productive capacity and fiscal resources to achieve that status. The trap is characterised by growth rates sufficient to prevent crisis but insufficient for convergence.

tax administration modernization, and medium-term structural benchmarks offer a negotiating path that the Fund can accept and the electorate can tolerate. The alternative—continued reliance on expensive commercial borrowing—worsens the debt dynamics the program is meant to address.

For Investors

1. Kenya offers selective, sector-specific opportunity in a fragile macro envelope. Financial services equities benefit from continued easing and RBCPM-driven transparency. Construction captures the affordable housing and infrastructure cycle. Horticulture exports have structural demand growth from EU markets. But passive, unhedged sovereign exposure is inadequately compensated at current B-rated spread levels given the asymmetric risk distribution.

2. The FY2026/27 budget is the key policy catalyst. If the June budget delivers a deficit below 5.5 percent of GDP with credible revenue measures, Kenya's rating trajectory improves and the entire fixed-income curve reprices favourably. If it reveals unconstrained pre-election spending above 6 percent, expect negative outlooks and spread widening within ninety days.

3. Weight the rains. A climate-driven food inflation spike above 10 percent changes the entire investment thesis—forcing a monetary policy reversal, killing credit recovery, and widening the fiscal deficit simultaneously. Agricultural commodity exposure and food-sector inflation hedges are the most underpriced risk management tools available for Kenya portfolios in 2026.

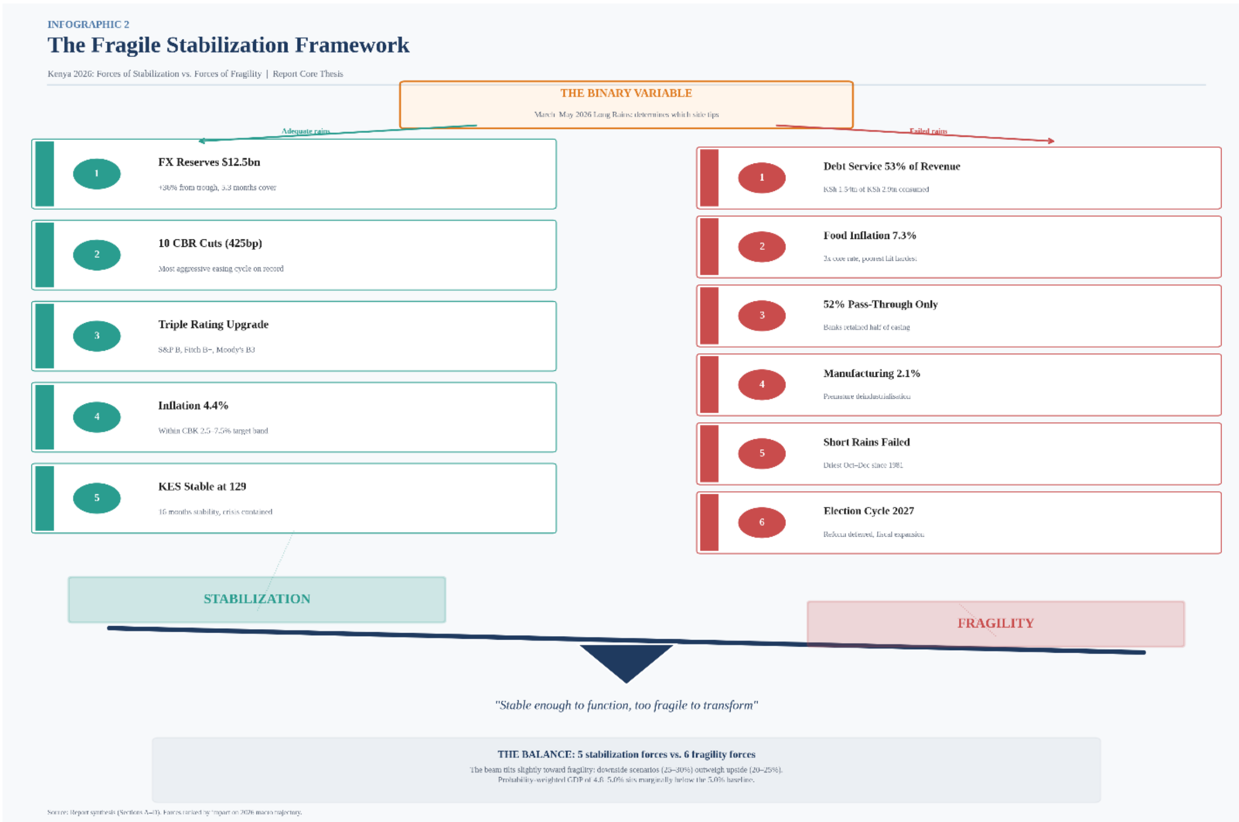
For Risk Monitoring

1. Monthly food CPI is the single most important leading indicator. A breach of ten percent signals that the climate-inflation-monetary cascade—the report's highest-probability, highest-impact risk chain—is activating.

2. The average weighted lending rate must decline below 14 percent by mid-2026 for the monetary transmission thesis to hold. If it stalls above 14.5 percent despite the RBCPM launch, the easing cycle is producing central bank statistics, but not necessarily economic relief.

3. Net domestic borrowing from the CBK weekly bulletin is the real-time proxy for fiscal crowding-out. Elevated issuance signals that government financing needs are absorbing the liquidity that monetary easing was supposed to channel to private credit—neutralizing the transmission mechanism from the fiscal side.

This executive dashboard distils Kenya's 2026 macro outlook into a single visual verdict: the crisis phase has passed, but the acceleration phase has not begun. Kenya is not in crisis, and it is not in boom — it sits in a narrow equilibrium where restored nominal stability, stronger external buffers, and anchored inflation coexist with binding fiscal constraints, weak monetary transmission, and stalled structural transformation. The traffic lights make the asymmetry unmistakable: green on reserves and stabilization, red where it binds most tightly — debt service, tax effort, manufacturing, and credit pass-through — underscoring the report's central conclusion that the economy is stable enough to function, but too fragile to transform (unless the reds turn green or orange). (See Appendix 1 for full narrative analysis as well as detailed instructions on how to interpret the infographic).



This diagram visually encodes the report's central thesis: Kenya's 2026 outlook is defined by a narrow and fragile equilibrium. Five stabilization forces — stronger reserves, aggressive monetary easing, rating upgrades, anchored inflation, and exchange-rate stability — are counterbalanced by deeper structural pressures, including debt service absorbing over half of revenue, weak monetary transmission, stagnant manufacturing, food inflation, climate risk, and the approaching election cycle. The tilt toward fragility reflects a probability distribution skewed to the downside, producing a growth outcome clustered around 4.8–5.0 percent — stable, but capped.

Hovering above the balance is the decisive variable: the March–May long rains. Adequate rainfall reinforces stabilization through agricultural recovery and easing inflation; failure triggers a fragility cascade that tightens policy and pulls growth below potential. In probabilistic terms, weather is the single most consequential uncertainty shaping Kenya's 2026 trajectory. (See Appendix 2 for full narrative analysis)

— End of Executive Summary —

SECTION B — GLOBAL OUTLOOK

The External Environment Shaping Kenya's 2026

B1 — GLOBAL 2026 MACRO REGIME OVERVIEW

The Three-Speed World

The global economy in 2026 operates in a distinctly "three-speed" configuration. The United States maintains economic resilience at approximately 2.1–2.6% GDP growth, powered by AI-driven capital expenditure, fiscal stimulus from the One Big Beautiful Bill Act (OBBBA)[9], and a consumer sector supported by strong household balance sheets—even as its labour market quietly deteriorates. Europe and the United Kingdom occupy a second tier of fragile, below-potential growth: the Eurozone projected at 1.2% (ECB December 2025 (ECB, 2025) projections) and the UK at 0.9–1.4% depending on the forecaster, with both regions wrestling with structural competitiveness challenges, demographic headwinds, and the aftershocks of the energy price crisis. The third speed belongs to the emerging and developing world, where aggregate growth of 3.9–4.0% masks enormous dispersion—from India's 6.2% and Sub-Saharan Africa's accelerating 4.4–4.6% to China's structural deceleration toward 4.4–4.5% and Latin America's relative stagnation.

The IMF's January 2026 World Economic Outlook Update (IMF, 2026) projects global growth at 3.3% for 2026, unchanged from its October 2025 estimate. Goldman Sachs is more optimistic at 2.8% (global, market-weighted) (Goldman Sachs, 2025), while the World Bank's June 2025 Global Economic Prospects (World Bank, 2025a) was marginally lower. The consensus range of 2.5–3.3% represents an economy that is neither recessionary nor robustly expansionary — a plateau that may reassure stability-minded policymakers but offers limited momentum for economies like Kenya that depend on stronger global growth to expand exports and attract investment.

The Tariff Overhang

The single most important structural break in the 2026 global macro regime, relative to any year since 2019, is the U.S. tariff architecture. The effective average U.S. tariff rate has risen to approximately 18.5%—the highest since the Smoot-Hawley era of 1933. The "Turnberry system," as the new trade framework has been dubbed following the July 2025 EU-U.S. deal at the Scottish resort, represents a fundamental reorganization of global trade governance, supplementing (some would say undermining) the WTO rules-based system with bilateral, power-asymmetric negotiations.

The WTO's October 2025 trade forecast (WTO, 2025) tells the story starkly: merchandise trade volume growth of 2.4% (WTO, 2025) in 2025 (boosted by front-loading of imports ahead of tariff implementation) is expected to collapse to just 0.5% in 2026—the weakest non-recession trade growth in decades. The tariff impact was absorbed in 2025 through inventory build-up, geographic

[9] The One Big Beautiful Bill Act, formally signed in 2025, consolidated the Trump administration's tax reform, immigration, energy, and defence priorities into a single reconciliation package. Its fiscal implications include extended individual tax cuts, full expensing for business investment, and deficit expansion estimated at $3.1–$3.8 trillion over ten years.

diversification (particularly China's redirection to ASEAN, Africa, and India), and AI-related trade surges. But 2026 is when the full tariff drag materializes. In February 2026, following a U.S. Supreme Court ruling that curtailed certain executive trade powers, President Trump imposed a new 15% universal import surcharge under Section 122 authority, compounding the existing tariff architecture and further depressing global trade prospects. This surcharge has also placed the Turnberry Agreement under strain, with the EU freezing ratification proceedings pending clarification of its application to EU goods.

Inflation: Mission Almost Accomplished

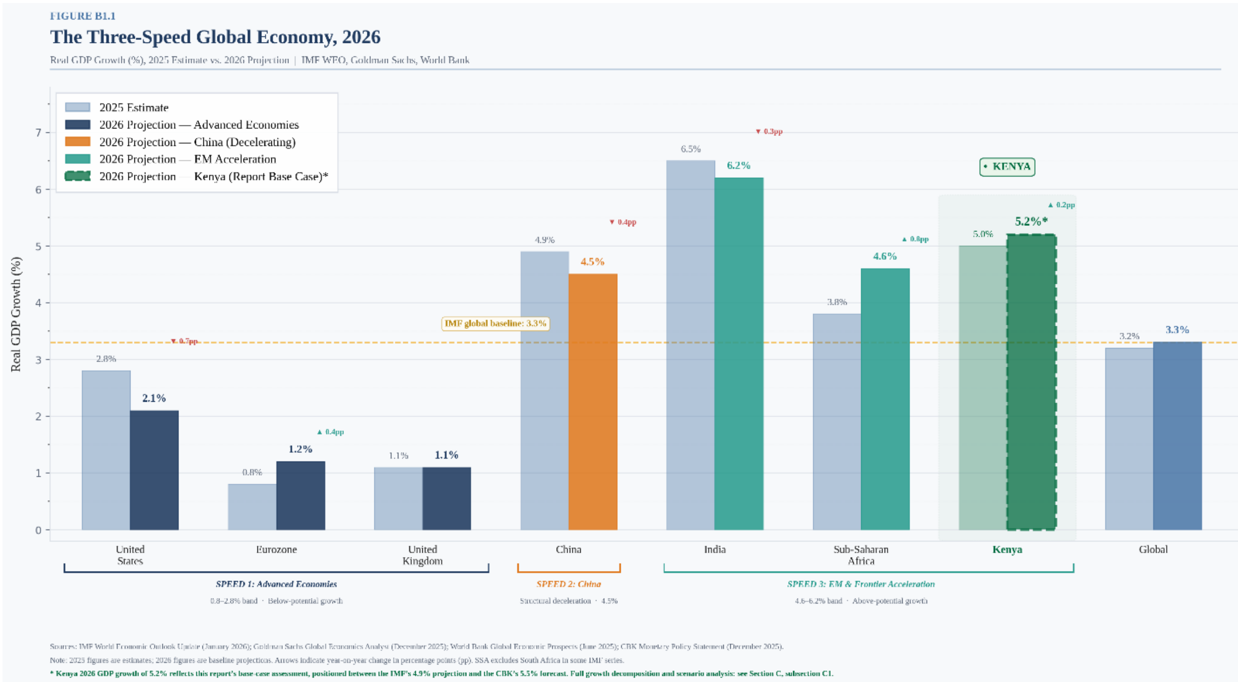
Global inflation has continued its descent from the 2022 peak. The IMF projects global headline inflation at 3.8% (IMF, 2026) for 2026, down from an estimated 4.2% in 2025. Advanced economy inflation is converging toward central bank targets: U.S. core PCE is estimated at around 2.3% excluding tariff pass-through effects; Eurozone headline HICP is projected at 1.9%; UK CPI is expected to reach the 2% target by mid-2026. This disinflation trend is the single most supportive global condition for Kenya's own monetary easing cycle, because it allows the Fed, ECB, and BoE to maintain accommodative-to-neutral stances, which in turn sustains emerging market (EM) capital flow appetite and reduces pressure on the KES.

However, the inflation picture is not without risk. Services inflation remains sticky in the UK and Eurozone. U.S. tariff pass-through to consumer prices has contributed approximately 0.5 percentage points to core PCE inflation (Goldman Sachs estimate (Goldman Sachs, 2025)), and any escalation in trade tensions could reignite goods inflation. More critically for Kenya, food price inflation—driven by La Niña drought conditions across the Horn of Africa—is decoupled from the benign global headline and poses a direct domestic threat.

Financial Conditions: The Easing Paradox

Central bank policy rates in advanced economies have declined significantly from their 2023–2024 peaks. The Fed has cut 175 basis points (Federal Reserve, 2026) since September 2024 (to 3.50–3.75%); the ECB's deposit rate sits at 2.00% (neutral territory); the BoE is at 3.75% (Bank of England, 2026) with further cuts expected. Yet long-term interest rates remain elevated relative to pre-pandemic norms—10-year U.S. Treasury yields fluctuate in the 4.0–4.5% range, and gilt yields remain stubbornly high. This divergence between short-rate easing and long-rate persistence creates a mixed signal for EM borrowers: funding costs have improved but haven't returned to the ultra-cheap conditions of 2019–2021.

For Kenya specifically, the financial conditions matrix is moderately supportive. EM debt inflows turned positive in 2025 for the first time since 2021, and frontier market real yields remain among the most attractive in the global fixed income universe. EM sovereign spreads have compressed to near-2007 tights for investment grade, though single-B credits (Kenya's category) retain meaningful spread compression potential. The technical environment—low net issuance against recovering demand—provides a cushion, but valuations are stretched enough that any risk-off event could trigger rapid repricing.



This figure shows the 2026 GDP estimates for various countries. Kenya at 5.2 percent grows at more than double the rate of its two largest European trade partners (Eurozone 1.2%, UK 1.1%), meaning demand-side support from these markets will be modest. It grows faster than its largest bilateral creditor (China at 4.5%), but China's structural deceleration is reducing the infrastructure financing and commodity demand that previously supported Kenya's external position. And it outpaces the SSA average by 0.4 percentage points, suggesting Kenya's economy is performing above regional peers — though not by the margin needed to close its developmental gap or justify the more optimistic projections (CBK 5.5%, National Treasury 5.3%) that this report's analysis in Section C1 challenges. The green footnote directs the reader to the full growth decomposition and scenario analysis that underpins this base-case estimate.

B2 — UNITED STATES: GROWTH, INFLATION & THE FED POLICY PATH

Growth: Resilient but Moderating

The U.S. economy enters 2026 on a firm footing. Real GDP grew at 4.4% (annualized) in Q3 2025, supported by robust consumer spending, surging AI-related capital expenditure, and continued government spending. Q4 2025 estimates range from 1.8% (FactSet consensus (FactSet, 2025)) to 3.7% (Atlanta Fed GDPNow), with the U.S. Treasury's January 2026 statement (U.S. Treasury, 2026) characterizing conditions as "solid." For full-year 2026, the forecast landscape ranges from 1.8% (Philadelphia Fed Survey (Federal Reserve Bank of Philadelphia, 2026) of Professional Forecasters) to 2.6% (Goldman Sachs), with the Conference Board at 2.1% (Conference Board, 2026) and Deloitte at 1.9%. The consensus clusters around 2.0–2.1% annual average growth.

Three forces shape U.S. growth dynamics in 2026. The OBBBA tax cuts provide a front-loaded fiscal impulse—Goldman Sachs estimates (Goldman Sachs, 2025) consumers will receive an extra $100 billion in refunds in H1 2026, equivalent to 0.4% of disposable income, while full expensing provisions for business investment are already boosting forward-looking capex indicators. Offsetting this, the tariff drag—while diminishing as a year-on-year impulse—continues to weigh on trade-exposed sectors, and the labour market has softened meaningfully. Job gains have decelerated from the 2024 pace to approximately 55,000–125,000 per month in 2026 (forecasts vary), and Goldman Sachs estimates underlying trend job growth at just 11,000 per month. The unemployment rate is projected to stabilize at 4.2–4.5%.

The Fed: Paused, Divided, and Transitioning

The Federal Reserve held rates steady (Federal Reserve, 2026) at 3.50–3.75% at its January 2026 meeting, pausing after three consecutive 25bp cuts in September, October, and December 2025. The January meeting minutes, released on February 18 (Federal Reserve, 2026), revealed significant divisions within the FOMC about the forward rate path as viewed from the minutes. Several participants indicated further cuts would be appropriate if inflation continued declining, while others argued for an extended pause, and some even raised the possibility that rate hikes could be warranted if inflation proved persistent. Two dissenting votes (Governors Miran and Waller) preferred a 25bp cut; the hold itself carried 10–2, reflecting broad consensus to pause but genuine uncertainty about the trajectory ahead.

Markets are pricing in at most two rate reductions in 2026 and none in 2027. J.P. Morgan Global Research (J.P. Morgan, 2026) no longer expects any cuts this year, while Goldman Sachs has previously forecast (Goldman Sachs, 2025) cuts in March and June. The key variable is the Fed leadership transition: Jerome Powell's term expires on May 15, 2026, and President Trump has nominated Kevin Warsh as his replacement. Warsh—a former Fed governor known historically for hawkish leanings—has recently signalled a more dovish stance aligned with the administration's preference for lower rates. His confirmation, contingent on the resolution of the Justice Department's probe into Powell, adds an unusual layer of institutional uncertainty.

Transmission to Kenya

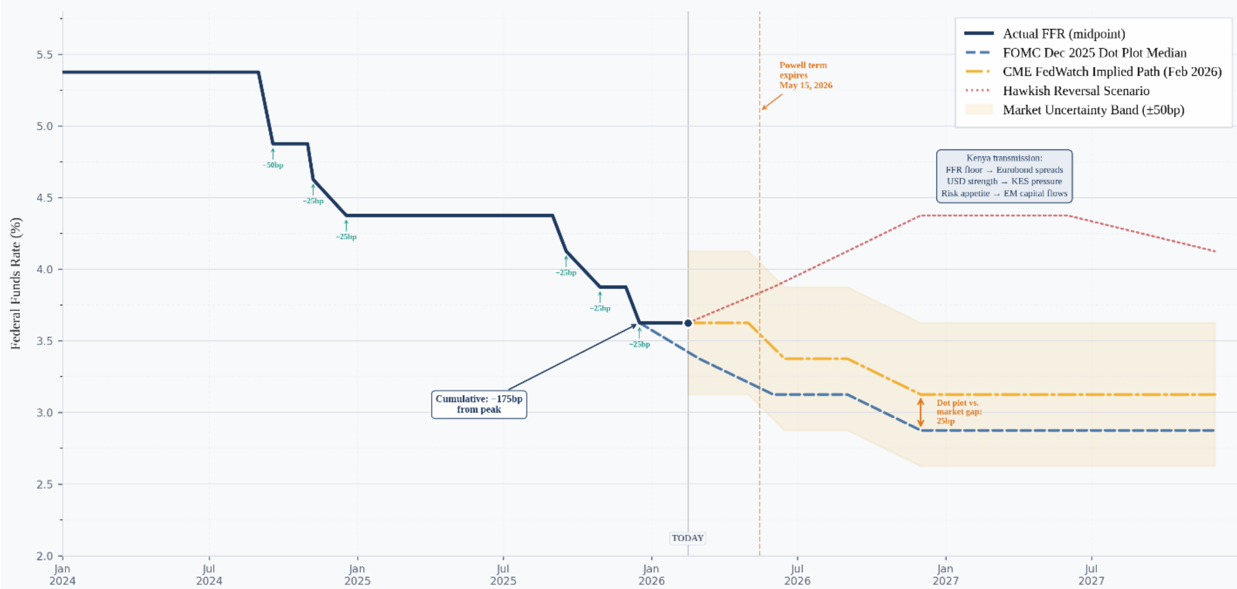
The Fed's policy path matters for Kenya through three channels. First, the level of the federal funds rate determines the floor for EM borrowing costs—Kenya's Eurobond yields are priced as a spread over U.S. Treasuries, so a higher-for-longer Fed translates directly into higher external financing costs. Second, the dollar's direction influences KES stability—a stronger dollar (driven by relatively higher U.S. rates) puts depreciation pressure on EM currencies. Third, U.S. economic performance drives global risk appetite: a resilient U.S. economy supports EM capital flows, but a U.S. downturn would trigger risk-off sentiment and capital flight from frontier markets.

The current configuration—moderate U.S. growth, a paused but likely-to-ease Fed, and a potentially dollar-weakening leadership transition—is moderately supportive for Kenya. The principal risk is a hawkish Fed surprise: if U.S. inflation re-accelerates (from tariff pass-through, services stickiness, or fiscal stimulus) and the Fed reverses course, EM financial conditions would tighten rapidly. This is Risk G-R2 from the Section A4 taxonomy and remains the most consequential global macro risk for Kenya's recovery.

FIGURE B2.1

Federal Funds Rate Path: Actual and Market-Implied, 2024–2027

FFR Target Range Midpoint (%) | Federal Reserve, CME FedWatch, FOMC Dot Plot



Sources: Federal Reserve FOMC Statements and Minutes (2024–2026); CME FedWatch Tool (as of February 15, 2026); FOMC Summary of Economic Projections, December 2025.

Note: Actual FFR shows target range midpoint. Dot plot shows median projection. Market path derived from fed funds futures. Hawkish reversal scenario assumes tariff-driven inflation re-acceleration.

This chart maps the single most consequential global monetary variable for Kenya's 2026 macroeconomic trajectory. The solid dark blue line traces the Federal Reserve's actual rate path — a cumulative 175 basis points of easing from the 5.375 percent peak to the current 3.625 percent midpoint, delivered across six cuts between September 2024 and December 2025, followed by a hold at the January 2026 meeting. Three forward-looking paths then diverge from today's level, revealing the uncertainty that Kenya's policymakers and investors must price.

The FOMC's own December 2025 dot plot median (dashed blue) projects a further descent to approximately 2.875 percent by end-2026 — implying three additional 25bp cuts through the year. Markets, however, are substantially more hawkish: the CME FedWatch-implied path (dash-dot amber) prices at most two reductions, settling near 3.125 percent by year-end, with the ±50bp uncertainty band (amber shading) reflecting the wide dispersion of possible outcomes. The gap between the dot plot and market pricing — roughly 25bp by December 2026 — captures the market's scepticism that the FOMC will deliver as much easing as its own projections suggest.

The dotted red line illustrates the tail risk that matters most for Kenya: a hawkish reversal scenario in which tariff-driven inflation re-acceleration forces the Fed to reverse course entirely, pushing rates back toward 4.375 percent. This would tighten emerging market financial conditions sharply, widen Kenya's Eurobond spreads, strengthen the dollar against the shilling, and potentially force the CBK to pause its own easing cycle. The vertical dashed line at May 15, 2026 marks the Powell-to-Warsh leadership transition — a regime change that adds institutional uncertainty to an already divided committee. For Kenya, the key read is that the FFR floor for EM borrowing costs is declining but slowly, and the risk distribution is asymmetrically skewed toward a higher-for-longer outcome.

B3 — EUROZONE: ECB NEUTRALITY, GERMAN FISCAL PIVOT & SOUTHERN RESILIENCE

Growth: Fragile but Upgraded

The Eurozone economy is experiencing a modest but uneven recovery. ECB staff projections (ECB, 2025) from December 2025 forecast 1.2% GDP growth in 2026, revised up from 1.0% in September, supported by domestic demand recovery, German fiscal expansion, and easing financing conditions. Goldman Sachs aligns at 1.3% (Goldman Sachs, 2025). The narrative, however, varies sharply across member states.

Germany—historically the Eurozone's engine—is undergoing a structural transformation driven by its massive fiscal pivot. The €1 trillion infrastructure and defence spending package (approximately €127 billion projected in 2026 alone) represents the most significant fiscal loosening in German post-reunification history. This "fiscal bazooka" aims to address decades of underinvestment in infrastructure, but its growth impact in 2026 will be front-loaded into planning and procurement rather than completed projects. Nomura's assessment is that the fiscal impulse will primarily boost construction and defence spending. Meanwhile, Germany's manufacturing sector continues to face structural headwinds from Chinese competition, the auto industry's electric vehicle transition, and persistent energy cost disadvantages. The Composite PMI recovered to 52.5 in January 2026, but this reflects services strength rather than industrial revival.

Southern Europe tells a different story. Spain continues to outpace the region, with consumer spending growing at approximately 3% and the economy benefiting from diversification into higher value-added services, tourism recovery, and EU Recovery Fund deployment. France, however, slipped back into contraction in January (Composite PMI 48.6), weighed down by political instability surrounding its 2026 budget, export headwinds from U.S. tariff threats (including the spectre of 200% duties on French champagne), and intensifying Chinese competition.

ECB Policy: At Neutral, Looking Both Ways

The ECB has held (ECB, 2025) its deposit rate at 2.00% for five consecutive meetings—a level widely considered neutral (the ECB estimates the neutral range at -0.5% to 1.0% in real terms). Inflation projections at 1.9% for 2026 and 1.8% for 2027 suggest inflation has been effectively conquered in the Eurozone. Around 85% of economists in the January Reuters poll (Reuters, 2026) expect no further rate changes in 2026. Deutsche Bank's base case (Deutsche Bank, 2026) is for a rate hold through 2026, with the next move being a hike in mid-2027 driven by fiscal easing and labour market tightness.

However, risks are two-sided. On the dovish side, growth remains fragile, manufacturing is in structural decline, and the euro's appreciation (to approximately $1.18) threatens export competitiveness. On the hawkish side, services inflation remains sticky, German fiscal expansion could generate demand-pull pressures, and ECB board member Isabel Schnabel (ECB, 2026) has warned that inflation risks are tilted to the upside—even floating the possibility that the next rate move could be upward.

Transmission to Kenya

The Eurozone matters for Kenya primarily as a trade partner—the EU is a major destination for Kenya's horticulture exports (flowers, vegetables), tea, and processed goods. Eurozone growth directly drives demand for Kenyan exports, while the EUR/USD exchange rate affects competitiveness. Additionally, European development finance institutions are key providers of concessional and semi-concessional financing. The ECB's neutral stance—neither tightening nor easing—creates a stable but uninspiring backdrop for Kenya's European trade exposure. The principal downside risk is a Eurozone recession triggered by escalating U.S. tariffs on EU goods, which would directly hit Kenya's export revenues.

B4 — UNITED KINGDOM: POST-BREXIT STRUCTURAL ADJUSTMENT

A Year of Subdued Growth

The UK economy faces what Goldman Sachs calls (Goldman Sachs, 2025) "another mixed year"—trend-like growth alongside further labour market deterioration, but also significantly lower inflation and additional Bank of England rate cuts. Forecasts for 2026 GDP growth range from 0.9% (EY ITEM Club (EY, 2026)) to 1.4% (Goldman Sachs, OBR), with the Bank of England's February 2026 Monetary Policy Report (Bank of England, 2026) projecting underlying growth of just 0.2% quarter-on-quarter in Q1 2026.

The UK's growth challenges are predominantly structural. Productivity remains stagnant, business investment intentions have collapsed despite earlier revisions showing stronger-than-expected actual investment in 2025 (driven by data center construction and renewable energy). The labour market is loosening sharply—unemployment rose to approximately 5% in 2025, the highest rate since the post-pandemic recovery. The April 2026 National Living Wage increase (4.1% to £12.71/hour) and elevated employer NICs from the Autumn Budget are squeezing hospitality, retail, and SME sectors. Real household disposable income growth is expected to fall from 3% in 2024/25 to just 0.25% per year in 2026.

Bank of England: Cautious Easing

The BoE maintained Bank Rate at 3.75% (Bank of England, 2026) at its February 2026 meeting, with a 5-4 vote (four members preferring a cut to 3.5%). The Bank projects CPI inflation to fall to 2.0% by June 2026, and its two-year-ahead inflation forecast was cut from 2.1% to 1.8%—a dovish signal. Market pricing suggests the Bank Rate could fall to approximately 3.3% in H2 2026, while most forecasters expect two to three cuts this year, bringing the terminal rate to 3.0–3.25%.

Transmission to Kenya

The UK is Kenya's second-largest bilateral trade partner in Europe and a historically significant source of FDI, development assistance, and diaspora remittances. UK economic weakness is a double transmission channel: reduced demand for Kenyan exports (particularly tea) and potentially slower growth in Kenyan diaspora remittances from the UK-based community—a concern given that total diaspora remittances grew only 1.9% in 2025, well below the double-digit growth of prior years. The UK-Kenya Economic Partnership Agreement (signed post-Brexit) provides a stable trade framework, but the UK's own economic difficulties limit the scope for expanded trade.

B5 — CHINA: PROPERTY OVERHANG, DEFLATION RISK & AFRICA RECALIBRATION

Growth: Headline Resilience, Structural Fragility

China's economy presents the starkest divergence between headline performance and underlying health. Full-year 2025 growth is estimated at 4.9–5.0%, meeting Beijing's "around 5%" target for a fourth consecutive year. But the composition of growth has shifted dramatically: external demand and state-directed investment in "new productive forces" (AI, semiconductors, EVs, green technology) are sustaining headline GDP, while domestic consumption remains subdued, the property sector continues its structural decline, and deflationary pressures persist (CPI near 0% in 2025, projected at 0.4% in 2026 by AMRO).

For 2026, the forecast landscape clusters around 4.4–4.5%, with the IMF at 4.5% (revised up 0.3pp in January 2026), the World Bank at 4.4% (December 2025), and Deloitte China at 4.5% (Deloitte, 2025). Citi Research's characterization of a "K-shaped economy" captures the dynamic precisely: the upward leg (technology, exports, AI-related sectors) lifts stock markets and sustains headline growth, while the downward leg (property, traditional manufacturing, household confidence) keeps consumption weak and deflationary forces alive.

The property sector remains the central macroeconomic challenge. Housing investment has contracted for years and is forecast to decline a further 13% in 2026 (Citi). Property sales are down 60% and starts down 80% from peak levels. The IMF has warned that continued property weakness could shave 0.8–1.0% off GDP growth without stronger intervention. Beijing's response has been deliberately restrained—targeted easing rather than massive stimulus—reflecting a strategic decision to accept lower growth in exchange for structural rebalancing.

China-Africa Nexus

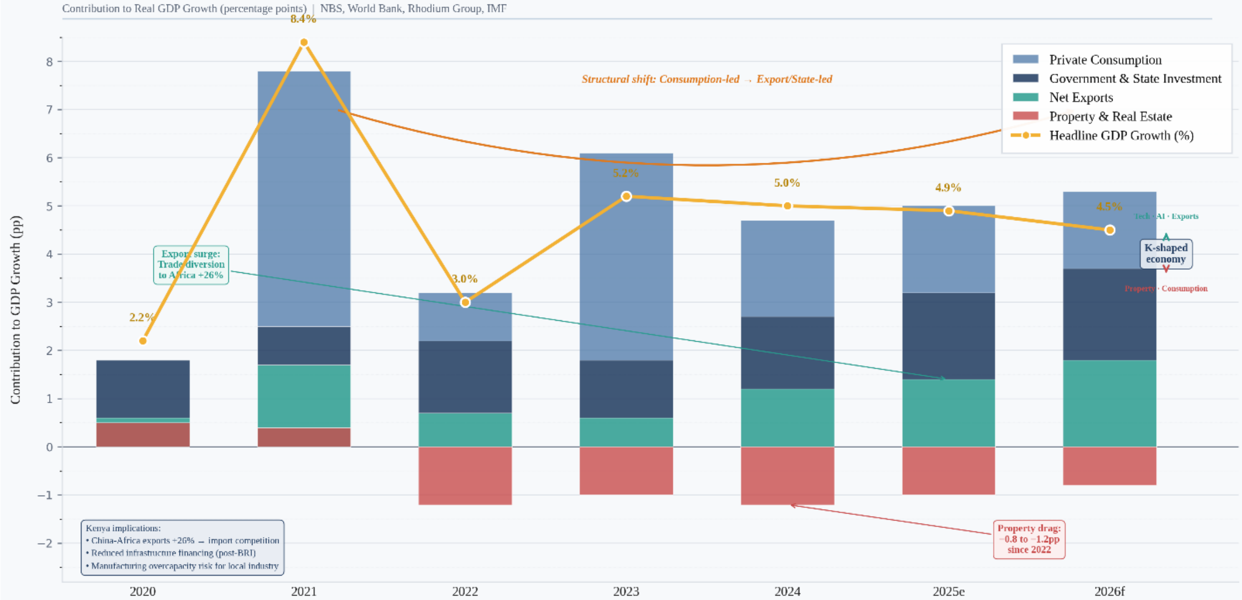
China's evolving economic model has direct implications for Kenya and Sub-Saharan Africa. Chinese exports to Africa grew 26.2% year-on-year through October 2025, making Africa one of the fastest-growing destinations for Chinese goods as Beijing diversifies away from the U.S. market. China's current account surplus is projected to approach 1% of global GDP over the next 3–5 years—the largest of any country in recorded history (Goldman Sachs)—and a significant portion of this surplus will flow through enhanced trade with the developing world.

However, the China-Africa relationship is evolving from the infrastructure-heavy Belt and Road model toward a more commercially driven, surplus-recycling dynamic. Rhodium Group notes that without domestic demand growth, Beijing cannot credibly offer African partners market access—the traditional quid pro quo for Chinese investment. For Kenya specifically, China remains a major bilateral creditor, construction partner, and increasingly competitive exporter. The risk is that China's manufacturing overcapacity (particularly in steel, cement, solar panels, and EVs) floods Kenyan and regional markets, undermining local industrialization efforts. The opportunity is that Chinese capital expenditure in Africa—especially in technology and digital infrastructure—could support Kenya's tech-enabled services economy.

FIGURE B5.1

China's Growth Decomposition: External vs. Domestic Demand, 2020–2026

Contribution to Real GDP Growth (percentage points) | NBS, World Bank, Rhodium Group, IMF



Sources: National Bureau of Statistics of China; World Bank China Economic Update (December 2025); Rhodium Group China Economic Monitor; IMF WEO (January 2026); Citi Research.
Note: 2025e = estimate; 2026f = forecast. Component contributions are approximate and may not sum precisely to headline due to statistical discrepancy. Property includes residential and commercial real estate investment.

This chart reveals the most consequential structural transformation in the world's second-largest economy — and why China's headline GDP figure increasingly misleads as a proxy for the health of domestic demand or the quality of growth transmission to trading partners like Kenya.

The stacked bars decompose China's real GDP growth into four demand-side components. The critical narrative is the compositional rotation visible from left to right across the panel. In 2021, private consumption (pale blue) dominated the 8.4 percent post-COVID rebound, contributing over 5 percentage points. By 2025–26, consumption's contribution has shrunk to under 2 percentage points as household confidence remains depressed, while the growth baton has passed to net exports (teal) and government/state-directed investment (navy) — particularly in Beijing's designated "new productive forces" of AI, semiconductors, electric vehicles, and green technology.

The red bars below the zero line quantify the property sector drag: a persistent −0.8 to −1.2 percentage point subtraction from growth every year since 2022, reflecting housing sales down 60 percent and starts down 80 percent from peak. This is not a cyclical adjustment — it is a structural repricing of an asset class that previously constituted roughly 25–30 percent of China's GDP when including upstream and downstream linkages.

The amber headline GDP line traces a deceptively orderly deceleration from 8.4 percent to 4.5 percent. But the K-shaped economy dynamic (annotated at far right) is the essential interpretive frame: the upward leg — technology, exports, AI — sustains headline numbers and equity markets, while the downward leg — property, traditional manufacturing, household balance sheets — keeps deflationary pressure alive and consumption subdued. For Kenya, the implications are threefold: Chinese exports to Africa surging 26.2 percent intensifies import competition for local manufacturers; the shift from Belt-and-Road infrastructure lending toward surplus-recycling trade reduces concessional financing availability; and manufacturing overcapacity in steel, cement, and solar panels risks flooding the East African market, directly undermining Kenya's already fragile industrialisation trajectory.

B6 — EMERGING MARKETS: CAPITAL FLOWS, DEBT, AND FRONTIER DYNAMICS

The EM Renaissance—Qualified

Emerging markets enter 2026 with their strongest fundamental position in years. Aggregate EM growth is projected at 3.9–4.0%, fiscal deficits are expected to improve to approximately 4.1% of GDP (from 4.5%), and FX reserves cover 135% of short-term external debt—in line with long-term historical averages. Inflation has been largely tamed across the EM universe, allowing central banks to ease policy rates while maintaining credible inflation-targeting frameworks. EM sovereign defaults stood at 0% in 2025, and J.P. Morgan projects a continued benign default environment in 2026. Credit rating upgrades outpaced downgrades in 2025 for the first time in several years.

Capital flows have turned decisively positive. EM debt funds posted their first year of net inflows in 2025 since 2021, reversing three consecutive years of outflows. PineBridge Investments estimates that the combination of recovering flows and contained net new issuance creates strong technical support for EM bond prices. Within the EM universe, frontier markets screen particularly well—offering high nominal and real yields, positive growth differentials, and improving policy credibility—but remain a niche allocation for most institutional investors.

Spread Compression: Opportunity or Trap?

The improvement in EM fundamentals is real, but it has been substantially priced in. EM sovereign spreads (as measured by the J.P. Morgan EMBI+ index) have compressed continuously since summer 2022 and are now at levels not seen since late 2007. Investment-grade EM sovereigns trade at their tightest levels since October 2007. CreditSights notes that this creates "substantial mean-reversion risk"—any negative shock could trigger a rapid widening from compressed levels.

For Kenya (rated B/B3/B– by S&P, Moody’s, and Fitch respectively), the spread dynamics are more nuanced. Single-B rated sovereign bonds offer significantly more spread duration than other credit markets, making them attractive in a carry-seeking environment. Kenya's successful re-entry to Eurobond markets in 2024–2025 has demonstrated continued market access. However, the compressed spread environment also means that the buffer against adverse events is thin. If global risk appetite reverses—due to a Fed hawkish surprise, geopolitical escalation, or AI bubble correction—the repricing would be most severe in the high-yield and frontier segments where Kenya sits.

- EM aggregate fiscal deficit: 4.1% of GDP (2026f) vs. Kenya's 4.8% target—slightly worse than EM average

- EM aggregate debt-to-GDP: 72% vs. Kenya's 68.9%—comparable

- EM FX reserves/short-term debt: 135% vs. Kenya's strong position at $12.46bn/5.37 months cover

- EM sovereign default rate: 0% (2025), projected near-zero for 2026

- EM HY corporate default rate: 2.9% (2025), projected ~3.0% (2026)

B7 — SUB-SAHARAN AFRICA MACRO CONTEXT

Africa's Growth Breakout—In Relative Terms

Sub-Saharan Africa is experiencing a notable acceleration. The IMF raised its 2026 growth forecast to 4.6% in its January 2026 update (up 0.2pp from October 2025), while the World Bank projects (World Bank, 2025a) 4.3–4.5%. Africa Pulse (October 2025) reports that SSA economic activity grew 3.8% in 2025, up from 3.5% in 2024, and projects an acceleration to an annual average of 4.4% in 2026–27. Perhaps most remarkably, the IMF now projects SSA growth will exceed Asia's for the first time in modern history, as China's structural deceleration pulls Asian aggregate growth down to approximately 4.1%.

Eleven of the world's fifteen fastest-growing economies in 2026 are expected to be African. This performance is being driven by elevated precious and base metals prices, easing inflation (the region's median inflation rate has declined from 9.3% in 2022 to a projected 3.9–4.0% in 2025–26), a weakening U.S. dollar, and declining debt-service pressures that are stabilizing external balances and improving fiscal space.

The Structural Caveats

The headline growth numbers require significant qualification. Excluding Nigeria and South Africa—the region's two largest economies—SSA growth is approximately 5.3%, revealing the drag from these anchor economies (Nigeria at 4.4%, South Africa at 1.4%). Moreover, GDP per capita growth of approximately 2.8% remains insufficient to recover pandemic-era losses or generate adequate job creation. In roughly 30% of SSA economies, GDP per capita in 2026 will still not have recovered to pre-pandemic levels—representing several lost years of income growth and poverty reduction.

Fiscal vulnerabilities remain acute. External debt service has more than doubled over the past decade, reaching 2% of GDP in 2024 across the region. The IMF identifies overlapping monetary, financial, external, and fiscal vulnerabilities across much of SSA, with the bank-sovereign nexus representing a particularly dangerous feedback loop: deteriorating sovereign creditworthiness weakens banking sector soundness, which in turn reduces private credit availability, slows growth, and further erodes sovereign creditworthiness.

For Kenya specifically, the SSA context provides both benchmarks and contagion channels. Kenya's projected GDP growth of 5.0% slightly exceeds the SSA average (4.6%), positioning it as a relative outperformer. Its inflation at 4.4% is below the SSA median. Its debt-to-GDP ratio of 68.9% is broadly in line with the EM average of 72% but above the SSA non-resource-intensive country average. The principal contagion risk is through investor sentiment—a sovereign default or major fiscal crisis in another SSA country could trigger a repricing of the entire frontier Africa complex, raising Kenya's borrowing costs regardless of its own fundamentals.

Aid and ODA Reduction

A critical headwind for SSA in 2026 is the reduction in Official Development Assistance (ODA). The IMF's October 2025 (IMF, 2025a) Regional Economic Outlook explicitly flags the "deterioration of the global aid landscape" as a key risk. Several major bilateral donors—most notably the United States—are cutting development assistance budgets, and multilateral institutions face their own funding pressures. For Kenya, which has been transitioning toward market-based financing and away from ODA dependency, this trend is less directly threatening than for lower-income SSA peers, but it does reduce the overall fiscal and developmental support available to the region.

B8 — GLOBAL TRADE ARCHITECTURE: TARIFFS, FRAGMENTATION & REALIGNMENT

The New Trade Order

The global trade architecture in 2026 has undergone its most significant restructuring since the creation of the WTO in 1995. The U.S. tariff regime—now averaging approximately 18.5% on imported goods, with specific rates as high as 100% on certain categories—has fundamentally altered trade flows, investment patterns, and supply chain configurations. The August 2025 activation of "reciprocal" tariffs on over 60 nations formalized the shift from a rules-based multilateral system to a bilateral, power-asymmetric framework.

The WTO's October 2025 trade forecast (WTO, 2025) captures the severity: merchandise trade volume growth is projected to collapse from 2.4% in 2025 to just 0.5% in 2026. The 2025 figure was artificially inflated by front-loading—importers rushing to beat tariff deadlines—and by a surge in AI-related trade (up 20% year-on-year, accounting for nearly half of overall trade growth in H1 2025). Neither factor is repeatable in 2026. The tariff drag, having been delayed by inventory build-up, will be felt in full.

Geographic Reallocation

The most significant secondary effect of the tariff architecture is the geographic reallocation of trade. China's exports to the U.S. declined 17.7% year-on-year through October 2025, but total Chinese exports still grew 5.3%, driven by diversification to ASEAN (+14.5%), the EU (+7.7%), India (+13.3%), and Africa (+26.2%). South-South trade grew 8% in value terms in H1 2025, compared to 6% for world trade overall—a structural shift that could benefit Kenya if it can position itself within these emerging corridors.

For Kenya, the global trade disruption creates both risks and opportunities. On the risk side, slower global merchandise trade directly reduces demand for Kenya's commodity and agricultural exports. The WTO projects that Africa's positive contribution to trade growth will shrink in 2026 relative to 2025. Least-developed countries face particular risks from the tariff environment, though Kenya, as a lower-middle-income economy with a diversified export base (horticulture, tea, services, textiles under AGOA), has more resilience than pure commodity exporters.

On the opportunity side, the fragmentation of global supply chains is creating "friend-shoring" and "near-shoring" dynamics that could benefit African economies positioned to attract diversified manufacturing. Kenya's relatively strong institutions, English-speaking workforce, digital infrastructure, and East African Community market access make it a potential beneficiary of supply chain reallocation—but this is a medium-term opportunity requiring sustained policy support, not a 2026 game-changer.

AGOA and Kenya

A specific risk for Kenya is the status of the African Growth and Opportunity Act (AGOA), which provides duty-free access to the U.S. market for qualifying African exports. After lapsing on September 30, 2025 and creating four months of uncertainty for African exporters, AGOA was renewed by President Trump on February 3, 2026—but only for a single year, through December 31, 2026. This shortest-ever authorization represents a “reprieve rather than a renewal,” imposing an uncertainty tax on firms like Kenya’s apparel manufacturers who had built operations around predictable duty-free access. Moreover, AGOA-eligible imports are not exempt from the U.S. reciprocal tariff framework, meaning Kenyan exporters face both the AGOA renewal cliff at year-end and the broader tariff environment simultaneously. USTR has signalled it will work with Congress to “modernize” AGOA to align with America First trade policy—adding further uncertainty to the post-2026 framework.

B9 — COMMODITY MARKETS: OIL, FOOD & CRITICAL MINERALS

Oil: The Bearish Structural Shift

Oil markets are experiencing a structural oversupply that represents one of the most favourable global conditions for Kenya's economy. Brent crude averaged $69/bbl in 2025, already down from $80 in 2024, and forecasts for 2026 point to further declines: the EIA projects (EIA, 2026) $58/bbl, J.P. Morgan $58/bbl, the World Bank $60/bbl, and Goldman Sachs mid-$50s. The January 2026 spot price of $67/bbl has been temporarily elevated by weather disruptions and U.S.-Iran tensions, but the underlying supply-demand dynamics are firmly bearish.

Global oil supply is expanding rapidly. OPEC+ has begun unwinding production cuts through monthly 411,000 bpd increases; non-OPEC production (U.S., Brazil, Canada, Guyana) continues to grow; and the UAE, Kazakhstan, and Iraq are all expanding capacity. On the demand side, growth has slowed to under 1 million bpd annually, depressed by the EV transition (global EV sales continue to surge), Chinese consumption stagnation, and tariff-related economic slowdown. The EIA estimates (EIA, 2026) supply will exceed demand throughout 2026 and into 2027, with inventories rising to levels that could push prices even lower than the $58/bbl baseline.

Transmission to Kenya

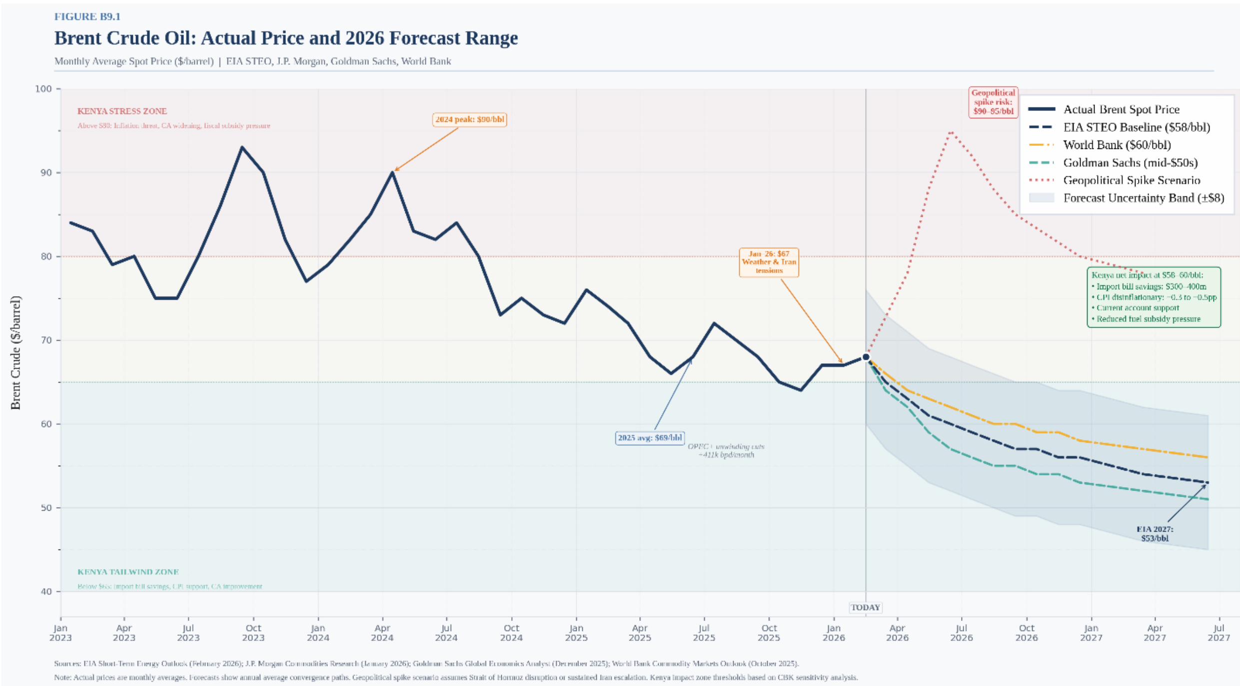
As a net oil importer, falling oil prices are unambiguously positive for Kenya's macroeconomic framework. Lower oil reduces the import bill, narrows the current account deficit, dampens transport and energy inflation, reduces fiscal pressure from fuel subsidies, and supports the KES. The World Bank's projected 10% decline in energy prices in 2026 could reduce Kenya's fuel import bill by approximately $300–400 million, providing meaningful balance of payments relief. This is one of the strongest external tailwinds supporting the "fragile stabilization" thesis.

However, two risks merit attention. First, geopolitical escalation—particularly around Iran and the Strait of Hormuz—could override the structural oversupply narrative. The recent U.S. warning to American-flagged ships transiting Iranian waters underscores this risk. A sustained Brent price above $90/bbl would directly threaten Kenya's inflation target, current account position, and fiscal balance. Second, Kenya's domestic fuel pricing mechanism—while designed to provide stability—creates a lag between global price changes and pump price adjustments, meaning benefits from falling oil prices flow to consumers with a delay.

Agricultural Commodities

The agricultural commodity outlook is broadly neutral. The World Bank's agricultural price index is expected to remain stable in 2025 before edging down 2% in 2026, with food and raw material prices largely unchanged as supply growth keeps pace with demand. Beverage prices (relevant for Kenya's tea and coffee exports) are expected to fall 7% in 2026 due to expanding output, which is negative for Kenya's export revenues but positive for global consumers.

The critical wildcard is La Niña. The FEWS NET December 2025 alert estimates 20–25 million people across Somalia, Ethiopia, and Kenya are in need of humanitarian food assistance, with drought the main driver for over half of those in need. The March-May 2026 rains—Kenya's "long rains"—will determine whether the food security situation stabilizes or severely worsens. If the rains fail, domestic food prices could spike dramatically, overwhelming the benign global food price environment with a localized supply shock.



This chart maps the single most unambiguously positive external variable in Kenya's 2026 macro outlook. The solid navy line traces Brent crude's descent from the $93 per barrel peak in October 2023 through a secondary $90 peak in April 2024 to the current $67–68 range — a cumulative decline of roughly $25 per barrel over twenty-seven months. The structural bearish drivers are clearly in force: OPEC+ is unwinding production cuts at 411,000 barrels per day monthly, non-OPEC supply (U.S. shale, Brazil, Guyana) continues expanding, and demand growth has slowed below one million barrels per day as the global EV transition accelerates and Chinese consumption stagnates.

Three institutional forecast paths project further declines into the Kenya Tailwind Zone (the green-shaded band below $65). The EIA's STEO baseline (dashed navy) converges toward $56–58 per barrel by end-2026 and $53 by mid-2027. The World Bank (dash-dot amber) is marginally higher at $60 average. Goldman Sachs (dashed teal) is the most bearish at mid-$50s. The uncertainty band (±$8, light blue shading) captures the consensus range — all of which lies below the $65 threshold where Kenya begins to experience material macroeconomic benefit. At $58–60 per barrel, the Kenya impact box quantifies the dividend: $300–400 million in import bill savings, a disinflationary impulse of 0.3–0.5 percentage points through transport and energy costs, current account support, and reduced fiscal pressure from fuel subsidies.

The critical tail risk is the dotted red line: a geopolitical spike scenario in which Strait of Hormuz disruption or sustained Iran escalation pushes Brent toward $90–95 per barrel — deep into the Kenya Stress Zone (red-shaded band above $80). At those levels, Kenya's inflation target is directly threatened, the current account widens sharply, fuel subsidy costs escalate, and the CBK faces a painful choice between defending price stability and sustaining its easing cycle. The market is currently pricing this risk at a moderate premium — the gap between the January 2026 spot ($67) and the downward-sloping forecast consensus reflects temporary supply disruptions rather than a structural repricing. For Kenya's policymakers, the base case is favourable, but contingency planning for the $80+ scenario is essential given the asymmetric damage it would inflict.

B10 — SYNTHESIS: GLOBAL TRANSMISSION CHANNELS TO KENYA

The Five Transmission Channels

The global macro environment in 2026 transmits to Kenya through five distinct channels, each with its own intensity, lag structure, and policy implications:

Channel 1 — Trade and Export Demand. Global merchandise trade growth of 0.5% (WTO forecast) is the weakest non-recession figure in recent memory and represents a significant headwind for Kenya's export sector. Horticulture exports to the EU face Eurozone demand softness; tea exports are exposed to both UK economic weakness and declining global beverage prices; tourism—Kenya's most important services export—is sensitive to discretionary spending in source markets. However, the redirection of Chinese trade toward Africa (+26.2%) and the structural growth in South-South trade partially offset the headline trade weakness. Kenya's export growth of 6.1% in 2025 may be difficult to maintain in this environment; a deceleration to 3–4% is probable under baseline assumptions.

Channel 2 — Capital Flows and Financing. The EM debt flow environment is constructive—net inflows have resumed, frontier real yields are attractive, and Kenya has demonstrated continued Eurobond market access. However, EM spreads are at their tightest since 2007, creating asymmetric risk: the upside from further compression is limited, while the downside from a risk-off event is substantial. Kenya's B-/Caa1 ratings position it in the segment most sensitive to risk appetite changes. A Fed hawkish surprise, AI bubble correction, or SSA contagion event could rapidly widen spreads and raise Kenya's external borrowing costs by 200–400 basis points.

Channel 3 — Oil and Energy Prices. This is the most unambiguously positive global channel for Kenya in 2026. Brent crude projected at $58–60/bbl represents a $10–20/bbl decline from 2024, directly reducing import costs, supporting the current account, and providing disinflationary impulse. The EIA's projection of $53/bbl for 2027 suggests this tailwind could persist. The principal disruption risk is geopolitical (Iran/Strait of Hormuz), which the market is currently pricing at a moderate premium.

Channel 4 — U.S. Dollar and Exchange Rate. The dollar's direction in 2026 is unusually uncertain. A weaker dollar (driven by the Fed easing cycle, fiscal sustainability concerns, and potential leadership-transition dovishness) would support EM currencies broadly and reduce KES pressure—a positive for Kenya. However, several forecasters note that if U.S. economic exceptionalism reasserts itself, the dollar could strengthen, tightening EM financial conditions. The consensus leans slightly toward modest dollar depreciation, which would be supportive.

Channel 5 — Climate and Food Price Transmission. The global disinflation trend is unable to insulate Kenya from its regional climate reality. La Niña drought conditions—the driest October-December rainy season in decades across the Horn of Africa—represent a localized but severe negative transmission from the global climate system. While global food prices are benign, domestic food prices in drought-affected Kenyan counties are already elevated, and the March-May 2026 rains represent the single largest near-term uncertainty for Kenya's inflation trajectory and agricultural GDP.

Net Assessment: Is the Global Environment Supportive?

On balance, the global macro environment in 2026 is **moderately supportive** for Kenya's recovery—better than 2022–2023 (when global inflation, aggressive Fed tightening, EM capital flight, and high oil prices created a perfect storm of external headwinds) but worse than the ultra-easy pre-pandemic conditions.

Channel	Direction	Intensity	Net Impact on Kenya
Trade & Exports	Headwind	Moderate	Negative (-)

Channel	Direction	Intensity	Net Impact on Kenya
Capital Flows	Tailwind (fragile)	Moderate	Positive (+)
Oil Prices	Tailwind	Strong	Positive (++)
USD/FX	Uncertain, slight tailwind	Moderate	Mild positive (+)
Climate/Food	Headwind (localized)	Strong	Negative (--)
Net			Mildly positive, asymmetric downside

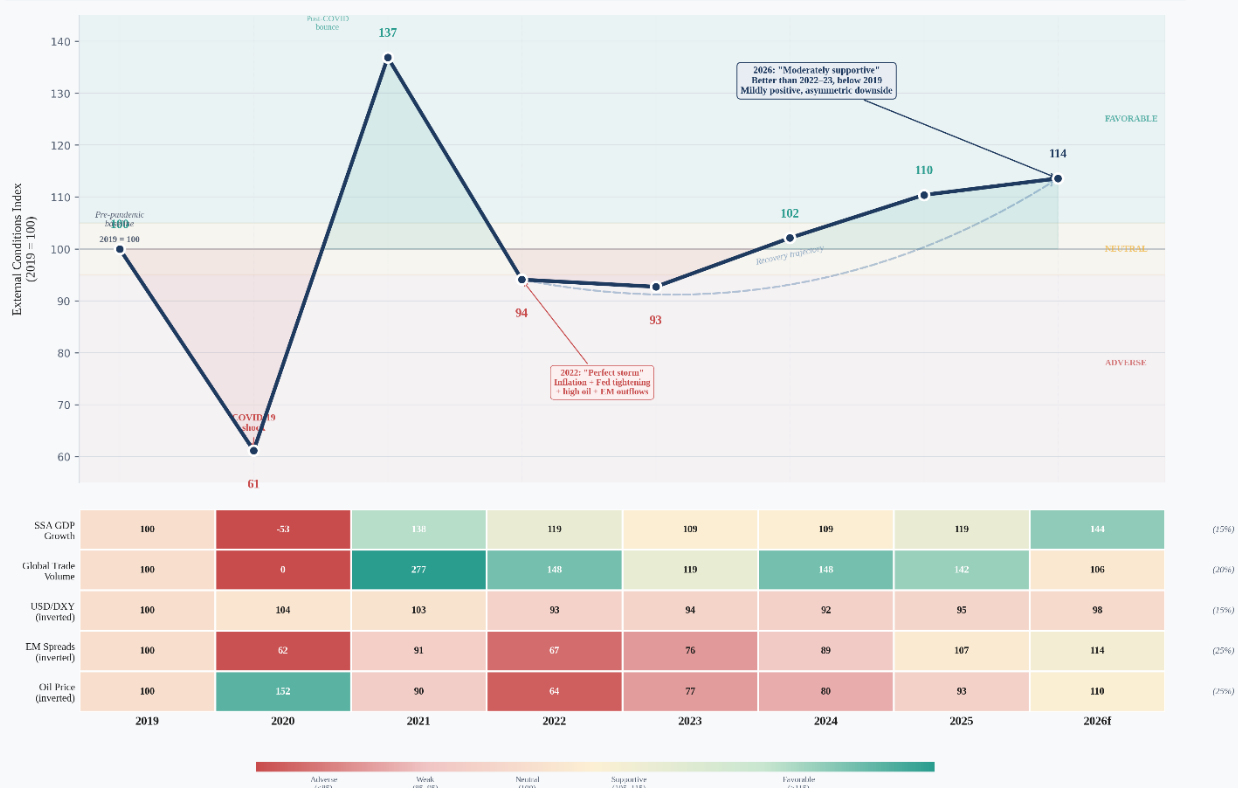
The net global assessment is mildly positive with asymmetric downside risk. The oil price tailwind and constructive EM capital flow environment provide genuine support for Kenya's recovery. But the unprecedented weakness in global trade growth, the compressed EM spread environment (where bad news is inadequately priced), and the La Niña climate shock create a fragile external foundation. Any single major disruption—Fed hawkish pivot, oil price spike, EM risk-off event—could shift the net assessment from mildly positive to firmly negative.

This assessment is fully consistent with the "fragile stabilization" thesis. The global environment does not prevent Kenya from recovering, but it does not provide sufficient tailwinds to overcome domestic structural constraints. Kenya's 2026 outcome will be determined primarily by domestic policy choices—monetary transmission, fiscal discipline, political management—operating within the narrow band of external conditions described in this section.

FIGURE B10.2

Kenya External Conditions Index, 2019–2026: How Favorable Is the Global Environment?

Composite Index (2019 = 100) | Weighted average of oil (inverted), EM spreads, DXY, global trade, SSA growth



Sources: IMF WEO (October 2025, January 2026); World Bank Commodity Markets Outlook; EIA STEO; J.P. Morgan EMBI; Federal Reserve (DXY proxy); WTO Global Trade Outlook.

Note: Each sub-component indexed to 2019 = 100 with direction adjusted so higher = more favorable for Kenya. Composite weights: Oil 25%, EM Spreads 25%, Trade 20%, DXY 15%, SSA Growth 15%. 2026f = forecast/projection.

This composite index synthesises the five global transmission channels that matter most for Kenya's macroeconomic performance into a single time series, answering the question every policymaker and investor needs answered: is the external environment helping or hurting?

The upper panel traces the Kenya External Conditions Index (2019 = 100), constructed as a weighted average of five sub-components — oil prices (inverted, 25% weight), EM sovereign spreads (inverted, 25%), global trade volumes (20%), USD/DXY (inverted, 15%), and SSA GDP growth (15%). Each is directionally adjusted so that a higher reading denotes conditions more favourable for Kenya as a net oil importer, Eurobond issuer, and export-oriented frontier economy.

The narrative arc is stark. From the pre-pandemic baseline of 100, the index collapsed to 61 during the COVID-19 shock of 2020 — the most hostile external environment in recent memory, driven by an EM spreads blowout (62) and SSA contraction (−53). The post-COVID rebound in 2021 was dramatic (137), fuelled by an extraordinary trade recovery (277), collapsed oil prices, and SSA growth rebound — but this proved a one-year anomaly rather than a new equilibrium. The index then fell sharply through the 2022 "perfect storm" (94) — global inflation, aggressive Fed tightening, $100 oil, and EM capital flight — and bottomed out at 93 in 2023, which represented the most adverse sustained external conditions Kenya had faced since the pandemic.

The recovery since 2023 is the analytically critical section. The index has climbed steadily from 93 to 102 (2024), 110 (2025), and a projected 114 for 2026 — firmly in the "Favorable" zone above 105. This recovery is driven by the oil price tailwind (rising from 80 to 110 as Brent falls from $80 to $58), EM spread compression (107 to 114), and SSA growth acceleration (119 to 144). However, two sub-components are conspicuously weak: global trade volume (falling from 142 to 106 as WTO trade growth collapses to 0.5%), and the USD/DXY index (98, still below the 2019 neutral of 100), reflecting a dollar that remains stronger than pre-pandemic norms.

The bottom heatmap panel decomposes this story cell by cell, with the colour gradient running from deep red (adverse) through amber (neutral) to green (favourable). The 2026 column is instructive: four of five sub-components are green or near-green, but global trade is the conspicuous amber outlier — the single channel most likely to constrain Kenya's export recovery.

The headline conclusion: 2026 external conditions at 114 are materially better than the 2022–23 trough (93–94) but have not recovered to the extraordinary 2021 rebound (137), and exceed the pre-pandemic baseline (100) by a meaningful margin. This is the empirical foundation for the report's "moderately supportive, asymmetric downside" assessment — the global environment is genuinely helpful for Kenya's recovery, but the help is concentrated in oil and financial channels rather than trade, and a single major disruption (Fed hawkish reversal, oil price spike, EM risk-off event) could rapidly shift the index back below 100.

INFOGRAPHIC 7

Kenya vs. Frontier & EM Peers — 2026 Macro Scorecard

Comparative Assessment Across Eight Key Indicators | IMF WEO, World Bank, Central Banks, Rating Agencies

	GDP Growth	Inflation	Debt/GDP	Reserves (months)	Credit Rating	FX Stability	Fiscal Deficit	Policy Rate
Kenya	5.0%	4.4%	67.8%	5.4	B	High	5.3%	8.75%
Nigeria	3.2%	33%	52%	4.2	B−	Low	4.5%	27.5%
Ghana	3.8%	22%	83%	2.8	CCC+	Med	6.2%	27%
Ethiopia	7.2%	19%	40%	1.5	CCC−	Low	3.0%	15%
Rwanda	7.5%	5.5%	75%	4.5	B+	Med	7.0%	6.5%
South Africa	1.8%	4.8%	74%	4.0	BB−	Med	4.8%	7.5%

KENYA'S COMPARATIVE ADVANTAGE: Best inflation control + strongest reserves among SSA frontier peers.

KEY GAPS: Growth below Ethiopia/Rwanda potential; credit rating below South Africa; debt service ratio highest among peers.

POSITIVE WATCH CONCERN

Sources: IMF WEO (January 2026); World Bank; Central Banks; S&P/Moody's/Fitch. Status indicators are relative assessments.

This figure shows Kenya’s relative positioning among frontier and emerging peers across growth, inflation, debt burden, reserves, fiscal balance, and policy stance. Kenya stands out for inflation control and reserve strength, yet ranks weaker on debt service pressure and credit transmission efficiency. The comparative lens reveals that Kenya’s stabilization advantage is real—but its debt overhang and fiscal compression remain structural vulnerabilities relative to faster-growing peers. (See Appendix 3 for full narrative analysis)

SECTION C — DEEP DIVE INTO THE KENYAN ECONOMY

Kenya's Macroeconomic Architecture: Growth, Sectors, Prices & Policy

C1 — GDP GROWTH DECOMPOSITION: THE 5.2% QUESTION

Headline Performance: Consistent, Not Spectacular

Kenya's GDP trajectory through 2025 tells a story of steady, broad-based expansion that exceeded many forecasters' expectations without reaching the government's more ambitious projections. The quarterly path — 4.9% in Q1, 5.0% in Q2, 4.9% in Q3 — reveals an economy operating in a remarkably narrow band, with neither the accelerations nor the stumbles that characterized the volatile post-pandemic years.

Full-year 2024 growth came in at 4.7%, down from a revised 5.7% in 2023 — a deceleration that reflected necessary monetary tightening rather than fundamental weakness. The CBK rate peaked (CBK, 2025) at 13.0% in early 2024, the KES was in freefall toward 160/USD, and inflation required aggressive policy response. By mid-2025, with those headwinds receding, the economy stabilized in the 4.9–5.0% corridor.

The question for 2026 is whether growth can materially accelerate from this corridor. The forecast landscape reveals meaningful divergence: the CBK projects (CBK, 2025) 5.5%, the National Treasury targets 5.3% (National Treasury, 2025), while the IMF is more conservative at 4.9%. This divergence is not primarily about different views on the global environment; it reflects fundamentally different assumptions about the speed of monetary transmission, the durability of agricultural performance under La Niña conditions, and the fiscal multiplier in an election-adjacent year.

The Growth Accounting Framework

Kenya's GDP composition reveals a services-dominant economy with a significant agricultural base and a stubbornly underperforming industrial sector. Agriculture, Forestry and Fishing accounts for approximately 22% of GDP; services (financial, ICT, transport, trade, real estate, public administration) collectively constitute roughly 55%; and industry (manufacturing, construction, mining) comprises approximately 20%.

The 2025 growth decomposition reveals which engines were firing:

Agriculture (22% of GDP): Grew 6.0% in Q1, 4.4% in Q2, and 3.2% in Q3 — a decelerating trend that corresponds to the worsening rainfall pattern. Coffee exports surged 73.8% in Q1 (to 16,894 tonnes from 9,722) but collapsed in Q3 (falling to 8,313 tonnes from 17,733 in Q3 2024). Cut flower exports surged 36.2% in Q3 (to 31,277 tonnes). Milk deliveries to processors grew 9.7% in Q3. The sector's contribution to headline growth ranged from 1.2 to 1.3 percentage points — consistently the largest single sectoral contribution.

Services: Financial and insurance activities grew between 5.1% and 6.6% across the three quarters; transport and storage between 3.8% and 5.4%; ICT between 4.5% and 5.8%; wholesale and retail trade between 4.8% and 5.4%. Professional services showed the widest range, from 4.6% to 8.5%. The services sector collectively contributed approximately 2.5–2.8 percentage points to headline growth.

Industry: This is where the "fragile" qualifier in the thesis bites hardest. Manufacturing grew at a tepid 2.1% in Q1 and only modestly improved through the year, constrained by energy costs, capacity limits, and weak export demand. Construction was the positive industrial surprise — rebounding 6.7% in Q3 after a 2.6% contraction in Q3 2024, powered by a 16.2% surge in cement consumption and resumed government road works. Mining recovered 16.6% from a deep base (-12.2% in Q3 2024). Industry's contribution: approximately 0.5–0.7 percentage points — inadequate for a country targeting structural transformation.

2026 Growth Scenario Analysis

Base case (5.0% — our assessment): Agriculture contributes 0.9–1.0pp (assuming partial La Niña impact, short rains failure offset by long rains recovery); services contribute 2.6–2.8pp (supported by monetary easing, credit recovery, digital economy expansion); industry contributes 0.7–0.9pp (construction momentum sustained by election-year infrastructure spending, manufacturing modestly improving with lower input costs from cheaper oil and lower interest rates). This aligns more closely with the IMF's 4.9% than the CBK's 5.5%.

Upside case (5.4–5.5% — the CBK scenario): Requires three conditions: (1) strong March-May 2026 long rains that revive agriculture to 5%+ growth, (2) private sector credit growth accelerating above 8% as RBCPM transmission improves, and (3) no material deterioration in the global risk environment. Probability: 25–30%.

Downside case (4.2–4.5%): Triggered by: (1) long rains failure leading to agricultural contraction and food price spike, (2) CBK forced to pause or reverse easing due to inflation breach, (3) EM risk-off event widening Kenya's spreads and pressuring the KES. Probability: 20–25%.

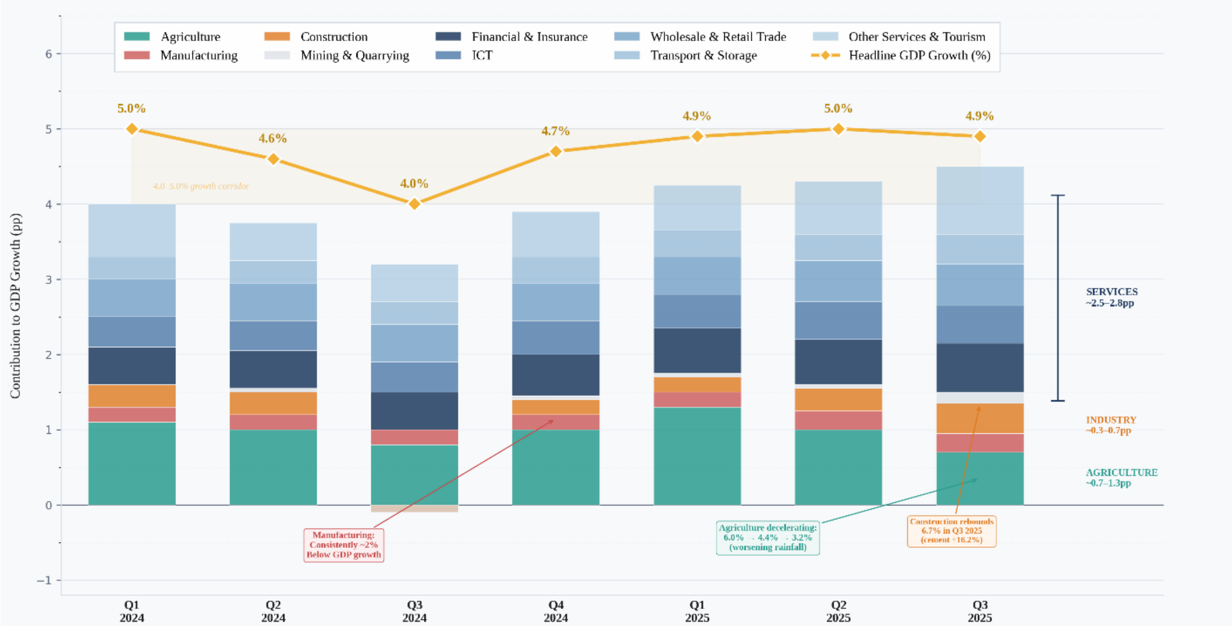
Theory Lens — C1.1: Okun's Law and Kenya's Growth-Employment Disconnect

> *Classical Okun's Law posits a stable inverse relationship between GDP growth and unemployment — a 1pp increase in growth should reduce unemployment by approximately 0.5pp. In Kenya, this relationship is broken. Despite consistent 4.5–5.5% GDP growth over the past five years, youth unemployment remains estimated at 40–67% (depending on the definition used), and the informal sector absorbs over 80% of new labour market entrants. This disconnect arises from the composition of growth: services-led expansion (particularly financial services, ICT, and real estate) is capital-intensive and skills-biased, creating high-productivity jobs for a narrow elite while leaving the mass of the working-age population in low-productivity informal activity. Kenya's growth model produces GDP gains without proportional employment gains — a structural feature that explains the disconnect between macro indicators and lived experience, and that fuels the political unrest documented in the 2024 protests. The "5% question" is therefore not just about whether growth reaches 5%, but whether its composition shifts toward sectors that create more employment per unit of output.*

FIGURE C1.1

Kenya GDP Growth Decomposition by Sector, Q1 2024–Q3 2025

Sectoral Contributions to Real GDP Growth (percentage points) | KNBS Quarterly GDP Reports



Sources: Kenya National Bureau of Statistics (KNBS), Quarterly Gross Domestic Product Reports (Q1 2024–Q3 2025); CBK Quarterly Economic Review (Q3 2025).

Note: Sectoral contributions are approximate and derived from growth rates and GDP shares. Services sub-sectors include financial & insurance, ICT, wholesale & retail trade, transport & storage, and other services (professional, accommodation, real estate).

This chart decomposes Kenya's quarterly GDP growth into its sectoral building blocks, revealing the structural composition beneath the deceptively stable 4.0–5.0 percent headline corridor (amber shading).

Three features dominate the visual. First, the services super-sector (the graduated blue bands — financial & insurance, ICT, wholesale & retail, transport, and other services including tourism) consistently accounts for 2.5–2.8 percentage points of headline growth across all seven quarters. This is the engine of the Kenyan economy: services-led, capital-intensive, skills-biased, and concentrated in Nairobi. The stability of the services contribution is both a strength (providing a reliable growth floor) and a structural concern (it generates GDP without proportional employment creation, which is the Okun's Law disconnect that underlies the Gen Z protest dynamic).

Second, agriculture (teal, at the base of each bar) tells a clear deceleration story: its contribution shrinks from 1.3 percentage points in Q1 2025 to just 0.7 by Q3, corresponding to the quarterly growth path of 6.0 percent → 4.4 percent → 3.2 percent as rainfall conditions deteriorated through the year. By Q3 2025, the October–December short rains had already become the driest since 1981, pulling agriculture's contribution to its lowest level in the panel. This is the sector most exposed to the La Niña risk that dominates the 2026 inflation outlook.

Third, manufacturing (the thin red band) is the visual signature of Kenya's structural weakness. At approximately 0.2–0.25 percentage points per quarter — barely visible in the stack — it consistently underperforms the headline growth rate, meaning manufacturing's share of GDP is actively declining. This is Rodrik's premature deindustrialisation in real time: a sector contributing under 5 percent of incremental GDP despite accounting for 11 percent of the level. Construction (orange) provides episodic relief — rebounding 6.7 percent in Q3 2025 on a 16.2 percent cement consumption surge — but its contribution is volatile and often government-driven, raising questions about sustainability in a fiscal consolidation environment.

The headline GDP line (amber diamonds) confirms the "remarkably narrow band" characterisation from the report text. Seven consecutive quarters between 4.0 and 5.0 percent is a pattern of stability, but one that masks compositional fragility: agriculture is decelerating, manufacturing is stagnant, and the growth floor is maintained by services — the sector least likely to generate the broad-based employment that Kenya's demographic trajectory demands.

C2 — SECTORAL DEEP DIVE: AGRICULTURE — BOUNTY AND VULNERABILITY

The Rainfall Dependency Trap

Agriculture's share of Kenya's GDP — approximately 22% — understates its macroeconomic significance. The sector directly employs roughly 40% of the labour force, generates the majority of rural household income, and drives food price dynamics that account for 33% of the CPI basket. When agriculture performs well, Kenya's macro indicators — growth, inflation, poverty, fiscal revenue — all benefit. When it falters, the entire macroeconomic framework is strained.

The 2025 agricultural year began promisingly. Favourable weather conditions in late 2024 and early 2025 drove strong Q1 performance: tea production was robust (though full-year 2025 output ultimately fell 11% as prices and key export volumes declined), coffee exports nearly doubled, milk deliveries to processors increased meaningfully, and the March-May 2025 long rains were adequate. But the October-December 2025 short rains told a different story entirely. FEWS NET's December 2025 alert reported the shortest October-December rainfall season since 1981 across the Horn of Africa. This is not a marginal shortfall — it is a historically anomalous drought event that has already pushed food prices higher and triggered humanitarian concerns.

Crop-Level Dynamics

Tea: Kenya is the world's largest tea exporter by volume. Full-year 2025 output declined 11%, with both prices and key export volumes under pressure. The global beverage price index is projected to fall a further 7% in 2026 (World Bank), creating a volume-and-price squeeze. EU market access remains secure under the Kenya-EU Economic Partnership Agreement, but Eurozone demand weakness (1.2% GDP growth) limits upside. Tea's contribution to export revenues is under structural pressure from climate variability, aging plantations, and intensifying competition from Sri Lanka and Vietnam.

Coffee: The most volatile of Kenya's agricultural exports in 2025. Exports surged 73.8% in Q1 (driven by both price and volume gains from specialty Arabica premiums) but collapsed in Q3. Coffee remains a high-value niche — Kenya's AA grade commands significant premiums on international auctions — but production volumes are small relative to global leaders, and the sector is plagued by governance issues in the cooperative system, aging trees, and inconsistent processing quality.

Horticulture (flowers, vegetables, fruits): The quiet star of Kenya's agricultural export portfolio. Cut flower exports surged 36.2% in Q3 2025 to 31,277 tonnes, reinforcing Kenya's position as the EU's largest flower supplier. Horticulture is Kenya's most climate-controlled agricultural sector (most production occurs in greenhouses or managed environments around Lake Naivasha), making it less vulnerable to rainfall shocks than rain-fed crops. However, the sector faces rising input costs (fertilizers, packaging, air freight) and increasing EU phytosanitary requirements.

Maize: The staple crop that drives food security and inflation. Maize flour prices rose 13.2% year-on-year in December 2025, and loose maize grain increased 12.6%. The short rains failure has directly impacted maize production in Eastern and Coastal counties, and the March-May 2026 long rains will determine whether the deficit deepens or stabilizes. Government input subsidies (fertilizer, seeds) through the Hustler Fund provide partial mitigation, but their fiscal cost constrains other spending.

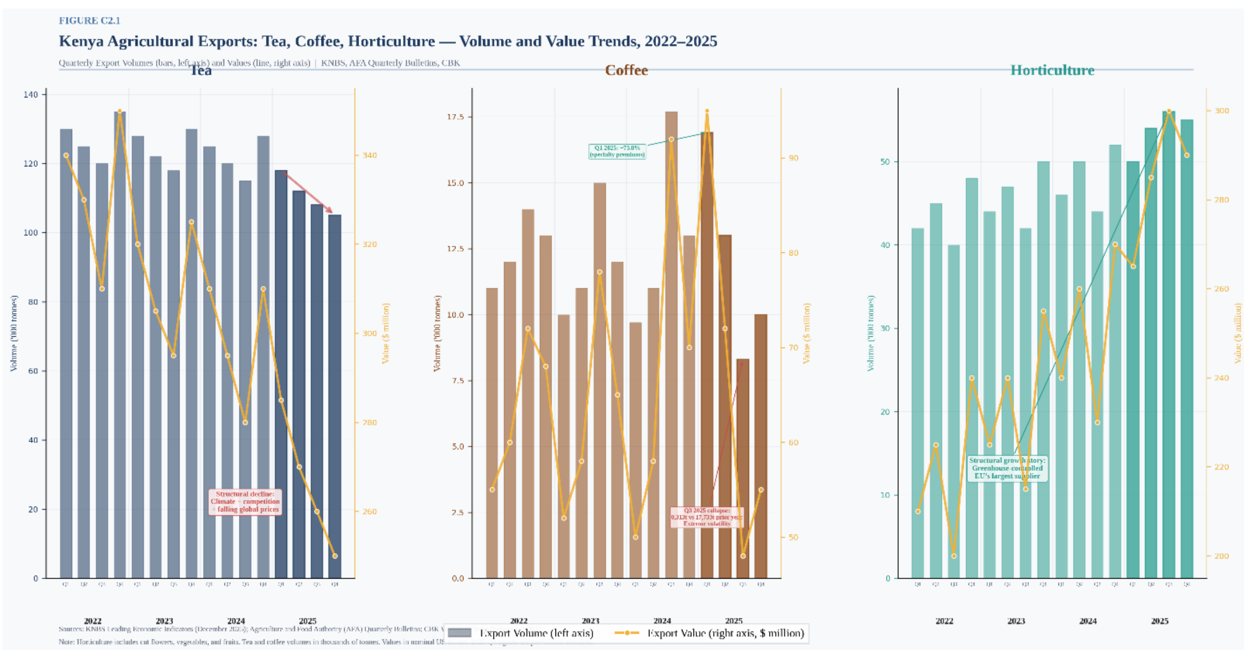
Dairy: A positive story. Milk deliveries to processors increased consistently through 2025 (9.7% in Q3), supported by favourable pasture conditions in the Rift Valley and Central highlands and improved access to veterinary services. Dairy is one of the few agricultural subsectors where productivity-enhancing investments (improved breeds, feed management, cold chain) are generating measurable output gains.

The 2026 Agricultural Outlook: The Long Rains Decide Everything

The March–May 2026 long rains remain the single most important near-term variable for Kenya's economic outlook — more consequential than any CBK rate decision, fiscal adjustment, or global macro development. If the long rains are adequate: agriculture grows 4–5%, food inflation moderates toward 5%, CBK retains space to continue easing, and the "fragile stabilization" thesis holds. If the rains fail: agriculture could stagnate or contract, food inflation could spike above 10%, CBK may be forced to pause easing, and the recovery narrative fractures.

In Q3 2025, Kenya experienced one of the driest October–December short rains seasons since 1981, but as of latest data in February 2026 Kenya has recently begun to experience heavier-than-expected rainfall across multiple regions as La Niña conditions weaken toward ENSO-neutral. These early rains offer cautious optimism ahead of the March–April planting window. The macroeconomic question, however, is not merely whether rain falls — but whether it persists consistently through the planting season without escalating into destructive flooding. Sustained, well-distributed rainfall would ease food supply pressures and reinforce stabilization; erratic or excessive rains could disrupt planting, damage infrastructure, and reintroduce volatility into the inflation outlook.

FEWS NET's latest seasonal outlook suggests above-normal rainfall probability for the March-May 2026 season across much of East Africa, which would provide relief. However, the damage from the failed short rains has already occurred, and even a good long rains season cannot fully compensate for the October-December shortfall in regions that depend on bimodal rainfall.



This three-panel chart decomposes Kenya's agricultural export performance across its three principal commodity categories, revealing starkly divergent structural trajectories that are central to the country's external position and rural income dynamics.

Tea (left panel) tells a story of secular decline. Export volumes (blue bars) have traced a persistent downward gradient from the 130–135 thousand tonne range in early 2022 to 105–108 thousand tonnes by late 2025 — a cumulative decline of roughly 20 percent over four years, culminating in the full-year 2025 output decline of 11 percent cited in AFA data. The amber value line tracks the volume decline but with an additional price dimension: the World Bank projects the global beverage price index to fall a further 7 percent in 2026, creating a simultaneous volume-and-price squeeze. This is not cyclical weakness — it reflects structural pressures from climate variability (increasingly erratic rainfall patterns in the Kenya highlands), aging tea plantations requiring replanting investment, and intensifying competition from Sri Lanka and Vietnam in key EU and Middle Eastern markets. Tea remains Kenya's single largest agricultural export by volume, making this decline a material drag on the current account.

Coffee (centre panel) displays the most extreme volatility of any Kenyan export commodity. The Q1 2025 surge — volumes leaping 73.8 percent to 16,894 tonnes on specialty Arabica premium demand — is immediately followed by a Q3 collapse to just 8,313 tonnes (from 17,733 in Q3 2024). This boom-bust pattern is characteristic of a niche premium product with thin global market share, governance challenges in the cooperative marketing system, and ageing tree stock that produces inconsistent yields. The amber value line amplifies the volatility: revenue peaked at approximately $95 million in Q1 2025 before falling to $48 million by Q3. For policymakers, coffee is simultaneously Kenya's highest-value agricultural product (per kilogramme) and its least predictable revenue stream.

Horticulture (right panel) is the structural growth story. Volume bars show a steady upward trend from the low-40s thousand tonnes in 2022 to 55–56 thousand tonnes by late 2025, with the Q3 2025 cut flower surge of 36.2 percent (to 31,277 tonnes) reinforcing Kenya's position as the EU's largest flower supplier. Critically, horticulture is the most climate-resilient of Kenya's agricultural exports — the majority of production occurs in greenhouse-controlled environments around Lake Naivasha, making it substantially less vulnerable to the La Niña rainfall shocks that threaten rain-fed tea and coffee. The value line (amber) confirms that the volume expansion is translating into revenue growth, with quarterly values approaching $300 million by Q3 2025. However, the sector faces headwinds from rising input costs (fertilisers, packaging, air freight) and increasingly stringent EU phytosanitary and sustainability requirements that raise compliance costs for smaller producers.

The overarching takeaway: Kenya's agricultural export base is undergoing a quiet but consequential structural rotation — from traditional, climate-exposed, volume-dependent commodities (tea) toward controlled-environment, value-added horticulture. This rotation has implications for rural employment (horticulture is more labour-intensive per revenue unit), foreign exchange earnings (horticulture is more stable), and climate resilience (greenhouse production buffers against rainfall variability). The key risk is that the rotation is happening too slowly to offset the structural decline in tea, leaving Kenya's aggregate agricultural export revenue vulnerable to the weather-driven shocks that the La Niña forecast for 2026 makes probable.

C3 — SECTORAL DEEP DIVE: INDUSTRY — MANUFACTURING'S MISSING REVOLUTION

The Manufacturing Paradox

Kenya's manufacturing sector presents a paradox: it is simultaneously too important to ignore (approximately 11% of GDP, second-largest sector) and too weak to drive structural transformation. Manufacturing growth averaged approximately 2% in 2025 — well below the overall GDP growth rate, meaning the sector's share of the economy continued to decline. This slow-motion deindustrialization is not a 2025 story; it has been underway for over a decade, as the economy's center of gravity shifts toward services.

The constraints are well-documented and mutually reinforcing: energy costs remain among the highest in East Africa (despite some recent tariff adjustments); the skills-to-jobs pipeline produces graduates mismatched with industrial needs; infrastructure gaps (particularly rail, port efficiency, and industrial zones) raise logistics costs; and the business environment — while stronger than many SSA peers — remains burdened by regulatory complexity, corruption, and inconsistent enforcement.

The tariff and trade environment adds a new dimension in 2026. Kenya's modest manufacturing base faces both opportunity and threat from the global trade realignment: opportunity, because supply chain diversification could attract firms seeking alternatives to China for African and Middle Eastern markets; threat, because Chinese manufacturing overcapacity (particularly in steel, cement, textiles, and electronics) is flooding regional markets through the 26.2% surge in Chinese exports to Africa documented in Section B5. The Kenyan Manufacturing Association (KMA) has repeatedly flagged the competitive challenge from cheap Chinese imports, particularly in textiles, steel products, and plastics.

Construction: The Cyclical Star

Construction was the industrial sector's bright spot in 2025, rebounding 6.7% in Q3 after contracting throughout most of 2024. The drivers were tangible: cement consumption surged 16.2% to 2,664 thousand tonnes; iron and steel imports jumped to 336,262 tonnes from 220,284 tonnes; bitumen imports rose 7.3%; and credit extended to construction enterprises improved dramatically to KSh 195.3 billion from KSh 129.2 billion.

This construction bounce has two engines. The first is resumed government infrastructure spending — road works, the Nairobi Expressway expansion, and housing under Ruto's Affordable Housing Programme. The second is private sector real estate development, supported by lower borrowing costs and improving sentiment. The political dimension is significant: with the 2027 election approaching, infrastructure spending will be front-loaded into 2026 as the government seeks visible development outcomes. President Ruto has explicitly tied the completion of major road projects to the 2027 timeline.

However, construction's contribution to sustainable growth is ambiguous. Government-driven construction spending crowds out private investment when financed through domestic borrowing (which absorbs bank liquidity that could otherwise fund private enterprise). If construction growth is funded by fiscal deficit expansion rather than revenue, it improves headline GDP at the cost of debt sustainability — a trade-off that becomes particularly acute in a pre-election year.

Mining: Small Base, Big Recovery

Mining and quarrying recovered 16.6% in Q3 2025 from a deep contraction (-12.2% in Q3 2024), driven by soda ash, fluorspar, and quarry stones. The sector's GDP share is approximately 1%, so even large percentage swings have limited macro impact. However, Kenya's nascent extractive potential (titanium in Kwale, recently discovered oil in Turkana, geothermal resources in the Rift Valley) represents a medium-term optionality that requires sustained policy attention.

Theory Lens — C3.1: Premature Deindustrialization

> *Dani Rodrik's thesis of "premature deindustrialization" describes countries that are losing manufacturing share of GDP at much lower income levels than the advanced economies that underwent classical industrialization. Kenya fits this pattern precisely: manufacturing peaked at around 13% of GDP in the early 2000s and has since declined toward 11%, even as per capita income remains under $2,000. The structural consequences are profound: manufacturing is the sector with the highest employment multiplier (each manufacturing job creates 2–3 ancillary jobs in services and logistics) and the strongest linkages to domestic supply chains. Without a manufacturing base, Kenya's growth model relies on services (which tend toward winner-take-all dynamics and skills polarization) and agriculture (which is climate-dependent). The Kenya Vision 2030 industrialization targets are increasingly disconnected from reality. The more realistic path may be "manufacturing-adjacent" activities — food processing, light assembly, packaging, and industrial services that leverage Kenya's*

> *advantages in logistics, digital infrastructure, and an English-speaking workforce — rather than classical heavy industrialization.*

C4 — SECTORAL DEEP DIVE: SERVICES — THE DIGITAL ENGINE AND ITS LIMITS

Financial Services: Profitable but Cautious

Kenya's banking sector is among the most developed in Sub-Saharan Africa. Tier 1 institutions — Equity Bank, KCB, Cooperative Bank, NCBA — are regionally significant, with strong capital bases (capital adequacy ratio at 19.9% as of October 2025, well above the 14.5% regulatory minimum) and robust profitability. The sector posted strong profits in 2025 even as non-performing loans (NPLs) rose to a concerning 16.5–17.6% range before declining to 15.5% by January 2026.

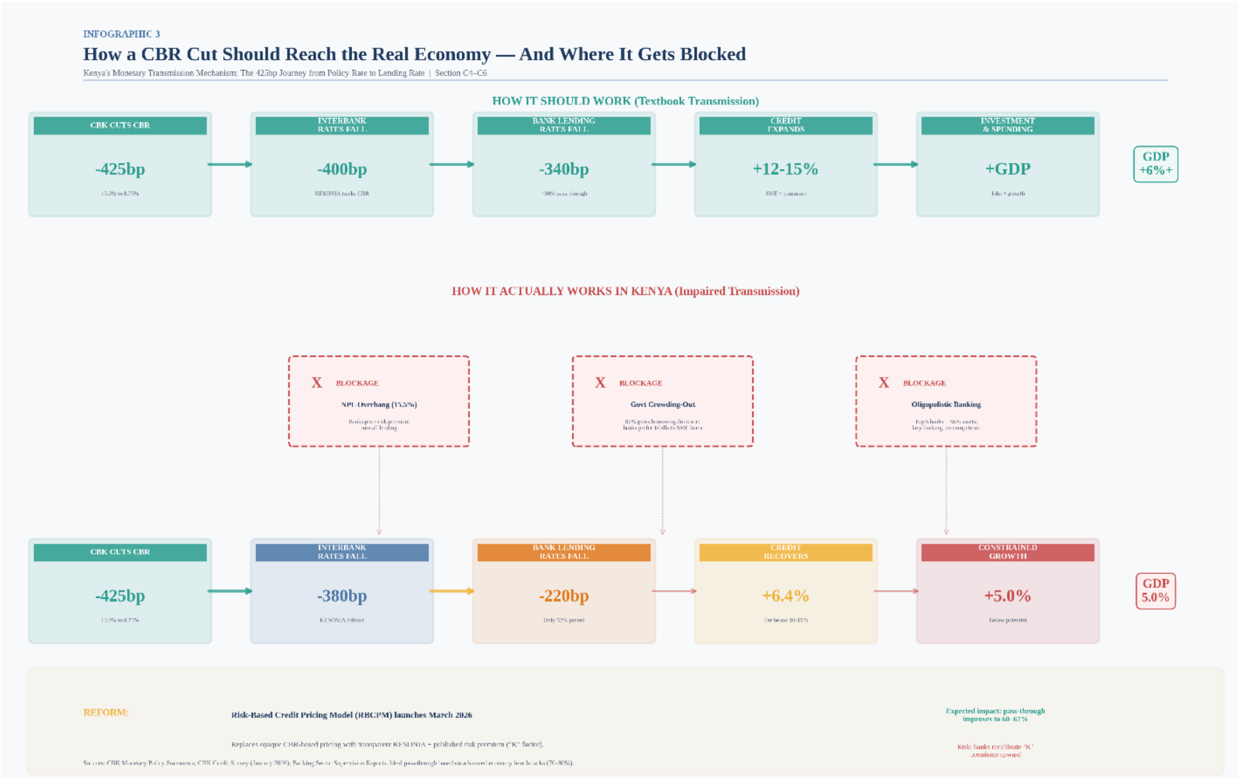
The NPL challenge is directly tied to the fiscal and monetary tightening of 2023–2024. Government payment delays — the notorious "pending bills" problem — starved contractors and suppliers of liquidity, pushing many into default. Reduced household disposable income from tax increases compressed consumer loan repayments. The NPL decline from 17.6% (August 2025) to 15.5% (January 2026) reflects early benefits of monetary easing and the government's partial clearance of pending bills (KES 175 billion securitization in May 2025), but the level remains elevated by historical standards and above the 3–5% prudential benchmark that the central bank considers optimal.

The Monetary Transmission Problem

Private sector credit growth accelerated to 6.4% in January 2026, up from 5.9% in December and stagnant levels through much of 2024. This is a positive trend but remains far below the 10–15% growth rates that characterized Kenya's credit boom years (2013–2018). The gap between the CBK's rate cuts (425bp cumulative since August 2024) and the decline in commercial lending rates (from approximately 17% peak to 14.8% in January 2026) reveals incomplete monetary transmission — banks have passed through roughly half the policy rate reduction.

The revised Risk-Based Credit Pricing Model (RBCPM), fully operational from March 2026, is the CBK's primary structural answer to this transmission gap. Under the new framework, all variable-rate loans will be priced off KESONIA (the Kenya Shilling Overnight Interbank Average) plus a borrower-specific risk premium ("K"). This replaces the opaque CBR-based pricing that allowed banks to maintain wide intermediation margins. The RBCPM should improve price transparency and competitiveness — banks will be required to publish their weighted average lending rates, premiums, and fees — but its near-term impact is uncertain. Banks may initially offset lower reference rates with higher risk premiums, particularly given elevated NPLs. The transition period creates operational complexity that could temporarily slow new lending.

The CBK also narrowed its interest rate corridor from ±75bp to ±50bp around the CBR at the February 2026 meeting, aiming to tighten alignment between the policy rate and market rates. This is a technically significant reform that signals the CBK's commitment to improving transmission, and it should reduce interbank rate volatility.



This figure shows the divergence between textbook monetary transmission and Kenya's impaired transmission channel. While the Central Bank's 425bp easing rapidly lowers interbank rates, structural frictions—high NPL overhang, sovereign crowding-out of private credit, and concentrated banking power—prevent full pass-through to lending rates. As a result, credit growth recovers only modestly and GDP gains remain constrained. The implication is that monetary easing alone cannot re-accelerate the economy unless financial intermediation efficiency improves. (See Appendix 4 for full narrative analysis)

ICT and Digital Economy

Information and Communication Technology grew between 4.5% and 5.8% across the first three quarters of 2025 — a respectable but decelerating pace compared to the double-digit growth rates of the 2015–2020 digital adoption surge. Kenya's digital economy is now mature enough that growth reflects deeper penetration and monetization rather than first-adoption gains.

M-Pesa and the mobile money ecosystem remain Kenya's most significant economic innovation, with financial inclusion reaching 84.8% in 2024 (driven by 78.9% mobile money penetration). The Safaricom Ethiopia venture continues to absorb investment (USD 1,189 million from Safaricom PLC as of December 2025) but has yet to reach profitability, representing a medium-term bet on the Ethiopian market.

Kenya's tech-enabled services sector — business process outsourcing (BPO), software development, fintech, and digital content — represents the most promising pathway for employment-intensive growth. Nairobi's status as East Africa's tech hub is reinforced by the presence of international firms

(Google, Microsoft, Visa) and a vibrant local startup ecosystem. However, the sector faces infrastructure constraints (particularly bandwidth reliability, as international bandwidth utilization actually declined in Q3 2025 from 17,412 Gbps to 14,066 Gbps), regulatory uncertainty around data protection, and increasing competition from Nigeria, Rwanda, and Senegal.

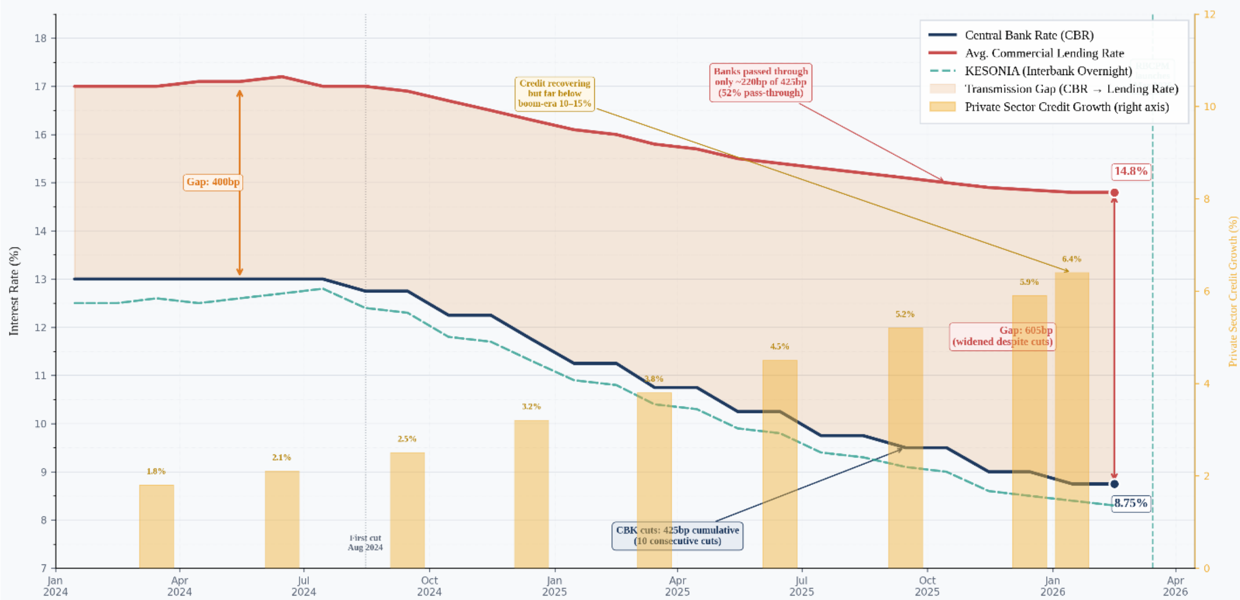
Tourism: The Quiet Recovery

Accommodation and food services grew 17.7% in Q3 2025, driven by international visitor arrivals through JKIA and Mombasa airport increasing 9.9% to 578,234 passengers and the Kenya co-hosting of the African Nations Championship (CHAN). Tourism is Kenya's most important services export and a critical source of foreign exchange, but the sector remains below pre-pandemic peak levels and is sensitive to security perceptions, travel advisories, and discretionary spending in source markets (UK, Germany, US).

FIGURE C4.1

Kenya's Monetary Transmission Gap: CBR vs. Commercial Lending Rates, 2024–2026

Interest Rates (%, left axis) and Private Sector Credit Growth (%, right axis) | CBK Monetary Policy Statements, Banking Supervision



Sources: Central Bank of Kenya, Monetary Policy Statements (August 2024–February 2026); CBK Banking Supervision Reports; CBK Weekly Bulletin (February 2026).

Note: CBR = Central Bank Rate. KESONIA = Kenya Shilling Overnight Interbank Average. RBCPM = Risk-Based Credit Pricing Model. Credit growth is year-on-year. Transmission gap = commercial lending rate minus CBR.

This figure quantifies the incomplete pass-through that constrains credit recovery and explains why 425bp of cuts haven't yet fully revived private investment.

C5 — INFLATION DYNAMICS: THE THREE INFLATIONS

Headline: Controlled but Structurally Fragile

Kenya's headline CPI inflation eased to 4.4% in January 2026, down from 4.5% in December and remaining below the 5% midpoint of the CBK's 2.5–7.5% target range. On the surface, this is an inflation environment that enables continued monetary easing and supports household purchasing power. The annual average for 2025 was approximately 4.5%, a remarkable achievement given the global inflationary pressures of 2022–2023 and the dramatic KES depreciation of that period.

But headline inflation in Kenya is a composite of three distinct inflation dynamics — each with different drivers, different trajectories, and different policy implications. Understanding the "three inflations" is essential for assessing the sustainability of the current environment.

Inflation 1: Core Inflation — The Benign Undercurrent

Core inflation (excluding food and energy) stood at 2.2% in January 2026, up slightly from 2.0% in December. This is the inflation metric most directly influenced by monetary policy, reflecting underlying demand conditions and wage dynamics. At 2.2%, core inflation signals that the economy is operating below potential — demand-pull pressures are minimal, wage growth is contained, and the KES stability has eliminated imported inflation from exchange rate pass-through.

Core inflation at this level gives the CBK maximum room to ease. It suggests that the 425bp of cumulative rate cuts since August 2024 have not generated excessive demand, and that further cuts can be absorbed without triggering demand-driven inflation. However, the flip side of very low core inflation is that it confirms the growth-employment disconnect: the economy is not generating enough demand-side pressure to push wages up or reduce unemployment meaningfully. Low core inflation is a symptom of the structural underemployment problem, not a sign of optimal macro management.

Inflation 2: Food Inflation — The Political Flashpoint

Food and non-alcoholic beverage inflation — the category with the largest CPI weight at 33% — ran at 7.3% in January 2026, down from 7.8% in December but still more than three times the core rate. This is the inflation that matters most for household welfare and political stability. Tomato prices rose 30.3% year-on-year, sukuma wiki (collard greens) 23.4%, mangoes 23.1%, maize flour 13.2%, loose maize grain 12.6%, and sugar 12.5%.

Food inflation is driven almost entirely by supply-side factors — rainfall, agricultural productivity, logistics, and food distribution networks — that are outside the CBK's direct control. The failed October-December 2025 short rains have already pushed up prices for rain-dependent crops, and the 20–25 million people across the Horn of Africa identified by FEWS NET as needing food assistance include significant Kenyan populations in arid and semi-arid lands (ASAL) counties.

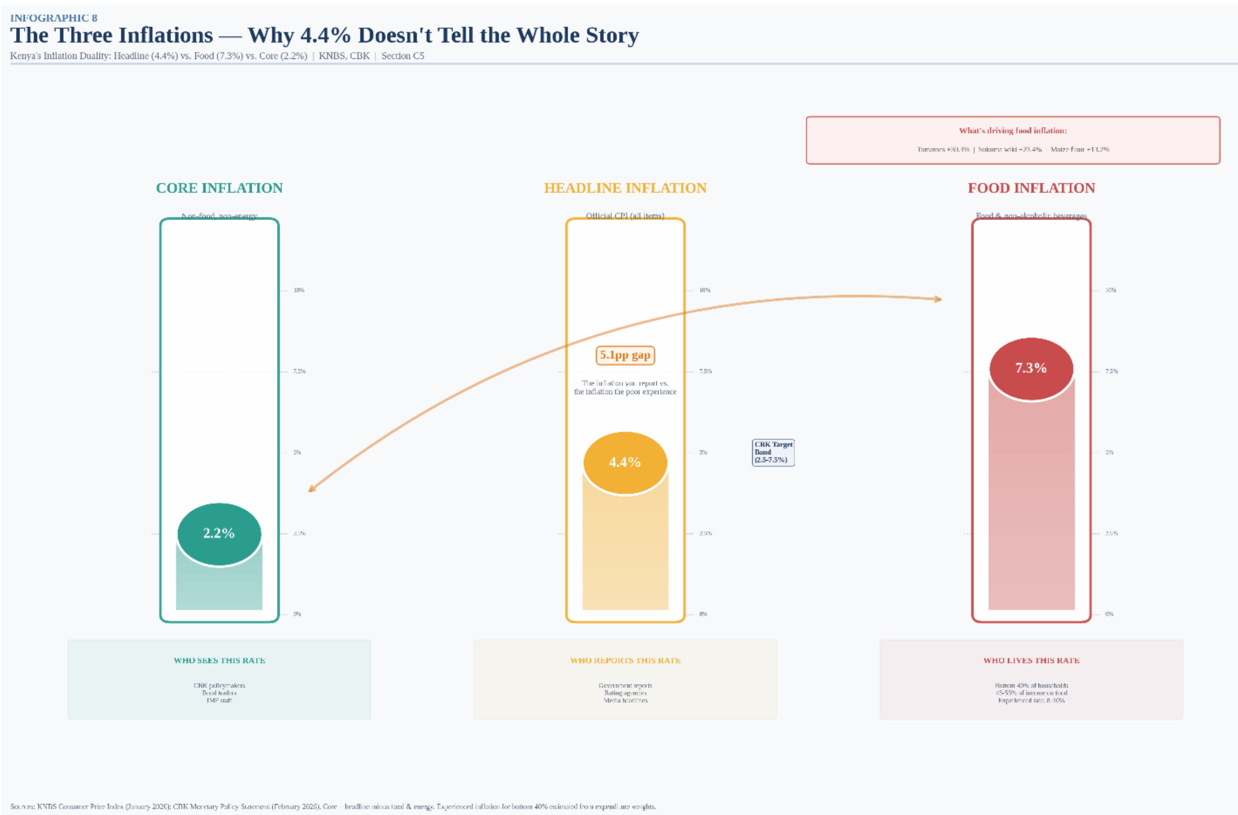
The food inflation trajectory in 2026 depends on the March-May long rains. The CBK's January (CBK, 2025) 2026 Agriculture Survey found that respondents expect "improved food supply following recent harvests particularly of maize, stable pump prices and exchange rate stability to support a stable inflation rate in the near term." But this expectation is conditional on weather outcomes that are inherently uncertain.

Non-core inflation (which is dominated by food prices) fell to 10.3% in January from 11.2% in December — still in double digits. This means that for the poorest Kenyan households, who spend the largest share of their income on food, experienced inflation is running at approximately double the headline rate. This disconnect between headline inflation (4.4%, controlled) and food inflation (7.3%, elevated) is the political economy fulcrum: it explains why the government can legitimately claim macroeconomic stability while ordinary Kenyans perceive continued cost-of-living pressure.

Inflation 3: Administered/Energy Inflation — The Oil Tailwind

Housing, water, electricity, gas and other fuels inflation accelerated to 2.2% in January from 1.6% in December, reflecting administered price adjustments. Transportation costs slowed to 4.8% from 5.2%, helped by a 1.9% decline in inter-town bus fares and modest reductions in petrol (-1.1%) and diesel (-0.6%).

The oil price tailwind documented in Section B9 ($58–60/bbl Brent for 2026 vs. $69 in 2025) provides a structural disinflationary impulse through this channel. Lower global oil prices feed through Kenya's fuel pricing mechanism to pump prices (with a lag), reducing transport costs, electricity generation costs, and input costs for manufacturing and agriculture. This channel could contribute 0.3–0.5 percentage points of disinflation to headline CPI over the course of 2026, partially offsetting food price pressures.



This figure shows the divergence between macro-reported inflation and lived inflation. While headline inflation sits at 4.4% within target, food inflation remains materially higher, disproportionately affecting lower-income households whose consumption baskets are food-intensive. Core inflation, meanwhile, reflects subdued demand conditions. The inflation story is therefore distributional: macro stability coexists with household strain, complicating the political economy of policy tightening or easing. (See Appendix 5 for full narrative analysis)

Inflation Forecast for 2026

The net inflation outlook for 2026 is a tug-of-war between disinflationary forces (falling oil prices, KES stability, low core inflation, potential long rains improvement) and inflationary forces (La Niña food supply shock, administrative price adjustments, modest demand recovery from credit growth). Our base case is that headline inflation averages 4.5–5.0% in 2026 — within the CBK target range but uncomfortably close to the 5% midpoint, with a Q2 spike risk if the long rains disappoint. This is consistent with continued monetary easing at a cautious pace (25bp per meeting through H1, with a pause assessment at mid-year).

The downside scenario (inflation spiking above 6%) would require: long rains failure + oil price spike from geopolitical escalation + KES depreciation. Under this scenario, the CBK would be forced to pause and potentially reverse easing — the "Inflation-Monetary Trap" risk cascade identified in Section A4.

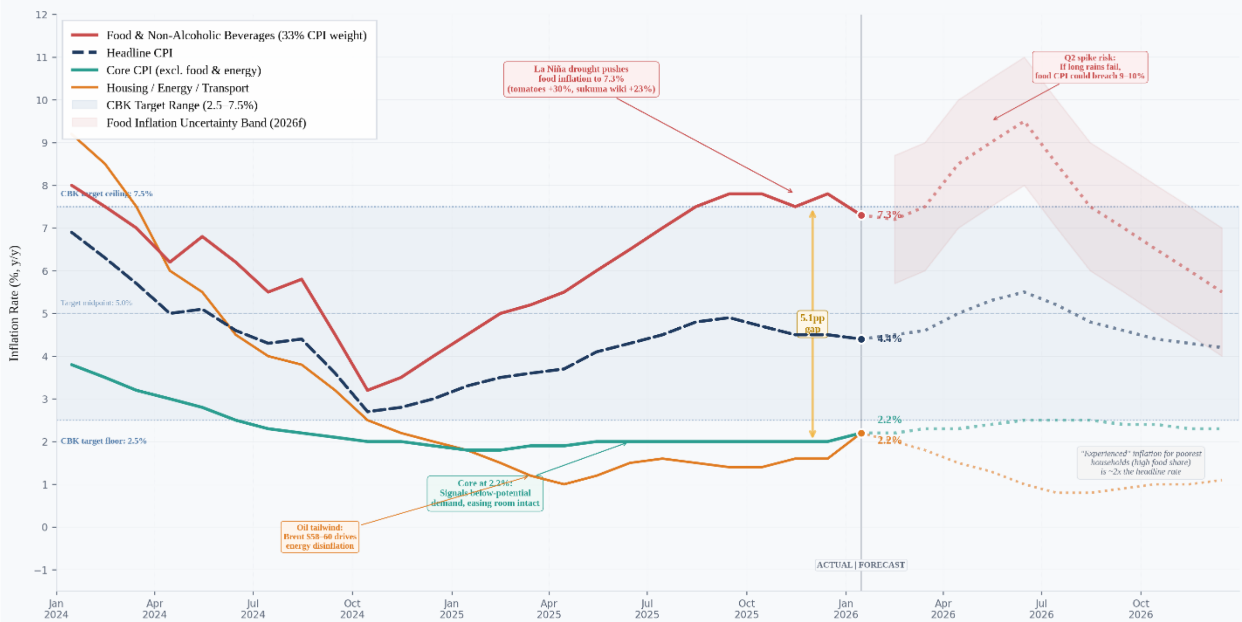
Theory Lens — C5.1: Structural vs. Cyclical Inflation in Food-Dependent Economies

> *Standard inflation-targeting frameworks (developed for advanced economies where food is 10–15% of the CPI basket) assume that central banks can meaningfully influence headline inflation through interest rate adjustments. In Kenya, where food accounts for 33% of the basket and food prices are driven by rainfall patterns rather than demand conditions, the CBK faces a structural limitation: it cannot ease weather, it cannot tighten drought. The implication is that Kenya's inflation-targeting framework will periodically produce outcomes where headline inflation breaches the target range due to supply shocks that monetary policy cannot address. The policy choice then becomes whether to respond to supply-driven inflation with demand-restricting rate hikes (which suppresses growth without fixing the food supply problem) or to "look through" the supply shock and maintain accommodative policy (which risks de-anchoring inflation expectations). The CBK's current approach leans toward the latter — continuing to ease despite food inflation at 7.3% — which is the correct textbook response to a supply shock. But political tolerance for "looking through" food price spikes has limits, especially as the 2027 election approaches.*

FIGURE C5.1

Kenya's Three Inflations: Core, Food, and Administered, Jan 2024–Dec 2026

Year-on-Year CPI Inflation by Component (%) | KNBS Monthly CPI Reports; 2026 forecasts are report base case



Sources: Kenya National Bureau of Statistics (KNBS), Monthly CPI Statistical Releases (January 2024–January 2026); CBK Monetary Policy Statements; FEWS NET Horn of Africa Food Security Alert (December 2025).

Note: Core CPI excludes food & non-alcoholic beverages and energy. Food CPI weight ~ 32.9% of overall basket. Dotted lines after Jan 2026 are report base-case projections. Uncertainty band reflects long rains sensitivity (±1.5pp on food).

This chart is perhaps the single most important visualization for understanding Kenya's political economy in 2026. It decomposes the deceptively benign headline CPI (dashed navy, 4.4 percent in January 2026) into its three structurally distinct components — each with different drivers, different trajectories, and profoundly different implications for policy and lived experience.

Food inflation (red) is the political flashpoint. After declining sharply from 8.0 percent in January 2024 to a trough of 3.2 percent in October 2024 — the V-shaped recovery that allowed the CBK to begin easing — it has reversed course dramatically, climbing back to 7.3 percent by January 2026 as the La Niña drought (the driest October–December season since 1981) pushed up prices for tomatoes (+30.3%), sukuma wiki (+23.4%), maize flour (+13.2%), and sugar (+12.5%). The red dotted forecast line projects a Q2 2026 spike toward 9–10 percent if the critical March–May long rains disappoint, with the shaded uncertainty band capturing the ±1.5 percentage point sensitivity to rainfall outcomes.

Core inflation (teal) is the benign undercurrent. Stable at 2.0–2.2 percent throughout 2025, it signals an economy operating firmly below potential — demand-pull pressures are absent, wage growth is contained, and the KES stability has eliminated imported inflation. This is the metric that gives the CBK its easing room: at 2.2 percent, core inflation confirms that 425 basis points of cuts have not generated excessive demand, and further easing can be absorbed.

Administered/energy inflation (orange) traces the oil tailwind. From 9.2 percent in January 2024 it collapsed to just 1.0 percent by April 2025 as Brent crude fell from $80 to sub-$70, flowing through Kenya's fuel pricing mechanism to transport and electricity costs. It provides a structural disinflationary offset of 0.3–0.5 percentage points to headline CPI through 2026.

The golden double-headed arrow at December 2025 marks the critical divergence: a 5.1 percentage point gap between food inflation (7.5%) and core inflation (2.0%). This gap is the empirical signature of Kenya's structural inflation challenge — for the poorest households, who spend the largest share of income on food, "experienced" inflation is running at roughly double the headline rate. This disconnect between the macro indicator (4.4 percent, "controlled") and household reality (7+ percent food costs) is the political economy fulcrum that explains why the government can legitimately claim macroeconomic stability while ordinary Kenyans perceive continued cost-of-living pressure. It is also the reason the CBK faces an impossible trilemma: core says ease, food says tighten, and the March–May rains will decide which signal prevails.

C6 — MONETARY POLICY: THE EASING CYCLE AND ITS LIMITS

The Longest Easing Cycle in Modern Kenyan History

The CBK's Monetary Policy Committee cut the Central Bank Rate (CBR) by 25 basis points to 8.75% on February 10, 2026 — the tenth consecutive reduction since the easing cycle began in August 2024 at 13.0%. This 425bp cumulative easing represents the longest and deepest rate-cutting cycle in Kenya's modern monetary history, and it has occurred against a backdrop of remarkably benign inflation (headline at 4.4%, core at 2.2%) and unprecedented exchange rate stability (KES/USD at 129 for sixteen consecutive months).

Governor Kamau Thugge's February statement reflected calibrated confidence: inflation is stable, the economy is resilient at 4.9–5.0% growth, credit growth is accelerating to 6.4%, and the exchange rate is supported by a balance of payments surplus. The CBK projects (CBK, 2025) growth of 5.5% in 2026 and 5.6% in 2027 — projections that, as argued in C1, embed more optimistic assumptions about transmission speed and agricultural resilience than the data currently support.

The Transmission Deficit: Why 425bp ≠ 425bp

The central puzzle of Kenya's monetary policy environment is why 425bp of policy rate cuts have produced only approximately 220bp of commercial lending rate reduction (from ~17% peak to 14.8% in January 2026). This roughly 50% pass-through rate is below the 60–70% typically observed in advanced economy monetary systems but consistent with frontier market banking systems characterized by oligopolistic structures, information asymmetries, and elevated credit risk.

Three factors explain the transmission gap:

First, the NPL overhang. With gross NPLs at 15.5% (January 2026), banks are pricing a risk premium that reflects realized — not theoretical — default rates. The two primary drivers of NPL accumulation (government pending bills starving contractors, and reduced household disposable income from 2024 tax increases) are structural problems that lower policy rates cannot directly address. Until NPLs decline below 12–13%, banks will maintain elevated risk premiums regardless of the CBR level.

Second, the domestic borrowing crowding effect. The government's 2026–2029 Medium-Term Debt Management Strategy calls for 82% of gross borrowing to be sourced domestically. Treasury bill yields have declined to below 8% (from 16% in mid-2024), and average Treasury bond rates fell to approximately 13.5% in H1 FY2026 from nearly 15% in the prior year. But even at reduced rates, the sheer volume of government domestic borrowing (KSh 545.8 billion in net domestic financing planned for FY2025/26) absorbs bank liquidity that could otherwise finance private sector credit. This is the classic crowding-out mechanism: the government offers banks a risk-free return that, when adjusted for capital requirements, competes with private lending at its risk-adjusted margin.

Third, structural banking sector dynamics. Kenya's banking sector is profitable but concentrated — Tier 1 banks (Equity, KCB, Cooperative, NCBA, Standard Chartered) dominate lending volumes and have limited competitive incentive to aggressively pass through rate cuts. Tier 2 and Tier 3 banks face liquidity constraints that limit their ability to expand lending even in an easing environment. The RBCPM reform (fully operational from March 2026) is designed to address this by replacing CBR-based pricing with KESONIA-based pricing, introducing borrower-specific risk premiums, and requiring publication of lending rates and fees. If the reform works as intended, it will improve transparency and tighten the policy-rate-to-lending-rate linkage. But the near-term transition may create friction: banks recalibrating their "K" premiums, IT system migrations, and potential regulatory uncertainty during the adjustment period.

How Much Room Remains?

The current CBR of 8.75% implies a real policy rate of approximately 4.35% (against headline inflation of 4.4%). This is still meaningfully restrictive — a neutral real rate for Kenya is likely in the 1.5–2.5% range, suggesting 150–200bp of further easing space exists before the CBK reaches neutral territory.

However, the constraints on further easing are tightening. First, food inflation at 7.3% means that any supply shock (failed long rains, global food price spike) could push headline inflation toward the 5% midpoint, reducing the CBK's comfort margin. Second, the KES has been exceptionally stable at 129/USD, but some analysts (Oxford Economics, Standard Chartered, Citigroup) project depreciation toward 134/USD in 2026, driven by growing import costs and rising foreign debt payments. If the KES comes under pressure, the CBK may need to slow easing to defend the currency. Third, the Fed's uncertain trajectory (paused at 3.50–3.75%, possibly 0–2 cuts in 2026) limits Kenya's ability to cut rates aggressively without widening the interest rate differential and encouraging capital outflows.

Our base case: two more 25bp cuts in 2026 (April and June), bringing the CBR to 8.25% by mid-year, followed by a pause for reassessment. Terminal rate for this cycle: 7.75–8.25%, reached by end-2026. This implies approximately 75–100bp of additional lending rate pass-through (bringing commercial rates to approximately 13.5–14.0%), which would provide modest but meaningful additional support to credit growth.

Theory Lens — C6.1: The "Impossible Trinity" in Practice

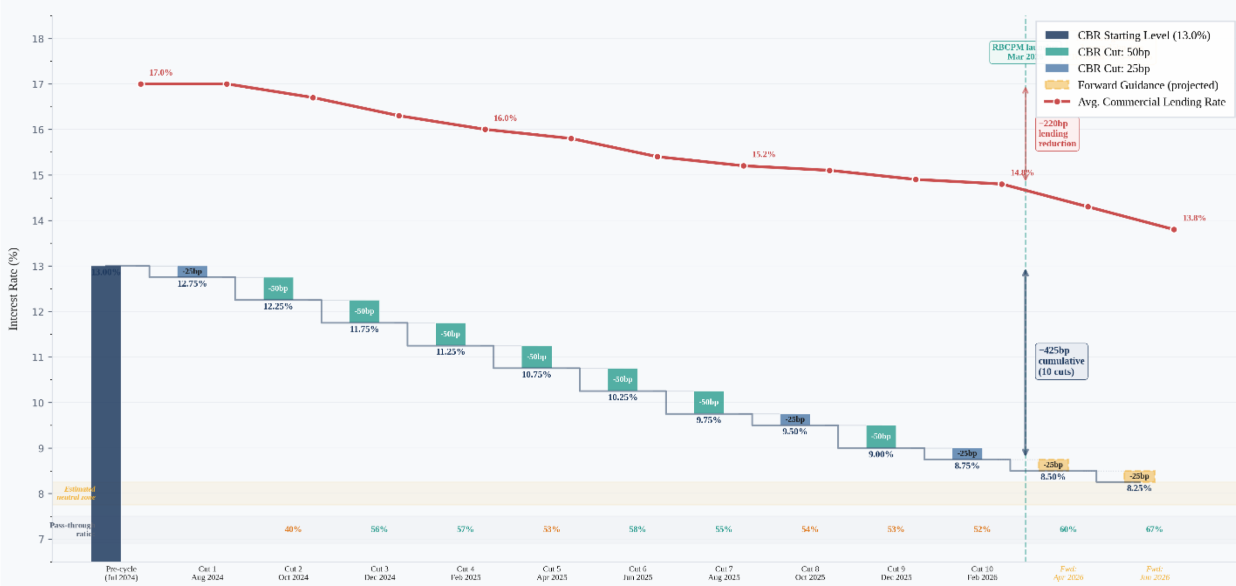
> *The Mundell-Fleming trilemma posits that a country can maintain only two of three: fixed exchange rate, free capital flows, and independent monetary policy. Kenya officially operates a floating exchange rate and maintains an open capital account, which should allow full monetary policy independence. But the KES's sixteen months of near-perfect stability at 129/USD suggests the CBK is implicitly managing the exchange rate — purchasing dollars to build reserves ($12.5 billion by end-2025, up from $9.2 billion) while preventing appreciation that lower oil prices and positive BoP flows would otherwise produce. The IMF flagged concern that "the shilling was too stable" and that the static rate was interfering with inflation targeting. If the CBK is indeed intervening to maintain exchange rate stability, it is partially surrendering monetary policy independence — meaning that rate cuts may be less effective than they appear because the exchange rate channel (cheaper imports, competitive exports) is being suppressed. This is a deliberate and arguably rational policy choice in a pre-election environment where exchange rate volatility carries severe political costs, but it means the CBK is running two policy frameworks simultaneously: an interest rate framework for domestic conditions and an exchange rate framework for*

> *external conditions. The tension between these frameworks will intensify if global conditions deteriorate.*

FIGURE C6.1

Kenya CBR Easing Path: 10 Consecutive Cuts vs. Commercial Lending Rate Response

MPC Decisions Aug 2024–Feb 2026, with Forward Guidance | CBK MPC Statements, Banking Supervision Reports



Sources: Central Bank of Kenya, Monetary Policy Committee Statements (August 2024–February 2026); CBK Banking Supervision Monthly Reports; CBK Weekly Bulletin.

Note: Pass-through ratio = cumulative lending rate reduction / cumulative CBR reduction. Forward guidance cuts (Apr–Jun 2026) are this report's base case. Terminal rate 7.75–8.25% assumes no inflation resurgence. RBCPM = Risk-Based Credit Pricing Model (KESONIA-based pricing, operational March 2026).

This waterfall chart visualises the longest and deepest rate-cutting cycle in Kenya's modern monetary history as a decision-by-decision staircase, making the pass-through deficit viscerally legible at every step.

The blue-green cascade descends from the 13.0 percent starting level (dark navy, left) through ten consecutive MPC cuts — six at 50 basis points (teal blocks) and four at 25 basis points (light blue blocks) — landing at 8.75 percent in February 2026. The cumulative 425 basis points of easing is annotated on the right with a vertical double arrow spanning the full descent. Two amber dashed blocks extend the staircase into forward guidance territory: this report's base case of two further 25bp cuts (April and June 2026) bringing the CBR to 8.25 percent, converging toward the estimated neutral zone (amber band at 7.75–8.25 percent).

The red lending rate line tells the contrasting story. Starting at 17.0 percent — already a 400 basis point spread above the CBR — it descends with agonising sluggishness, reaching only 14.8 percent by February 2026: a mere 220 basis point reduction against 425 basis points of policy easing. The pass-through ratios arrayed along the bottom of the chart (grey band) quantify this deficit at each step: after an initial zero pass-through at the first cut, the ratio climbed to 56–58 percent through mid-cycle before settling at 52 percent by the tenth cut. This means banks have effectively retained approximately half of the monetary easing as expanded intermediation margins.

The RBCPM launch (vertical green dashed line at March 2026) is positioned as the structural intervention designed to close this gap. By replacing the opaque CBR-based loan pricing with transparent KESONIA-based pricing plus published borrower-specific risk premiums, the reform should tighten the policy-to-lending-rate linkage. The forward guidance projections show the pass-through ratio improving to 60–67 percent post-RBCPM — still incomplete, but a meaningful improvement that would bring commercial rates down to approximately 13.5–14.0 percent, a level that begins to meaningfully support credit recovery for SMEs and mortgage borrowers. Whether this materialises depends on whether banks use the transition to recalibrate risk premiums upward (offsetting the lower reference rate) or whether competitive pressure forces genuine pass-through — a question the market will answer in H2 2026.

C7 — FISCAL AND DEBT DYNAMICS: THE ARITHMETIC OF CONSTRAINT

The Headline Numbers

Kenya's public debt profile as of June 2025 presents a picture of stabilization at an elevated level:

- **Total public debt:** KSh 11,815 billion ($91.3 billion) — 67.8% of GDP

- **Composition:** 53.5% domestic (KSh 6,326 billion), 46.5% external (KSh 5,489 billion)

- **10-year CAGR:** 12.9% (total debt growth, roughly double nominal GDP growth)

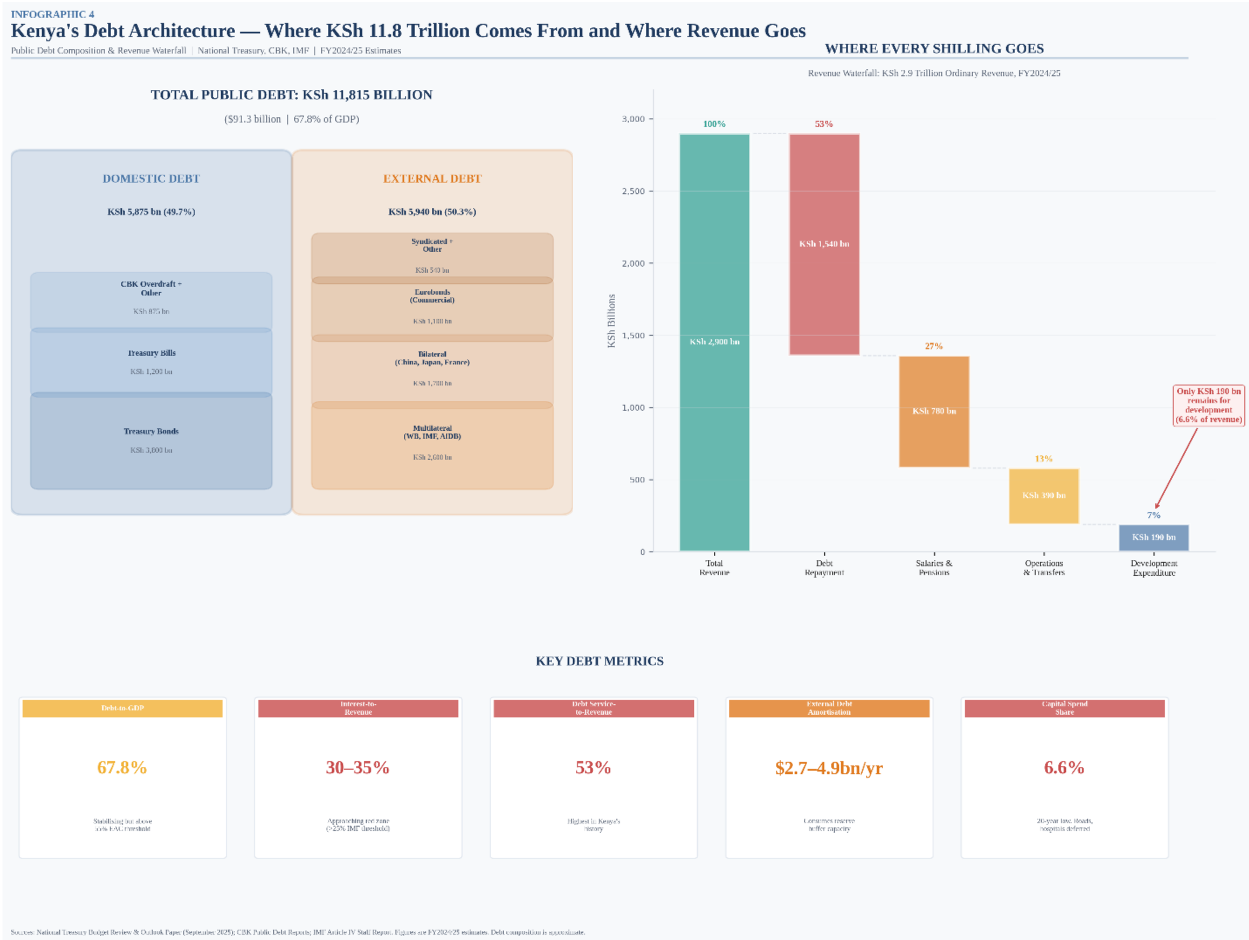
- **Debt per capita:** KSh 193,598 — growing at 11.1% CAGR vs. GDP per capita at 6.9% CAGR

- **Interest payments:** On pace to exceed KSh 1 trillion in FY2024/25 (approximately KSh 83.7 billion per month)

- **Interest-to-revenue ratio:** 30–35% (Moody's, World Bank)

- **Debt service-to-revenue:** Approximately 53% of total revenues allocated to debt service (principal + interest), with the FY2026/27 Draft Division of Revenue Bill projecting KSh 1.54 trillion of KSh 2.9 trillion in ordinary revenue going to debt repayment

These numbers tell a story of a country that has not reached a debt crisis but has consumed nearly all of its fiscal space. When over half of tax revenue is absorbed by debt service before a single teacher is paid or road is built, the government's capacity to invest in growth-enhancing expenditure is fundamentally compromised.



This figure shows that Kenya's macro constraint is fundamentally fiscal arithmetic. Public debt—nearly evenly split between domestic and external sources—feeds into a revenue waterfall where debt service absorbs over half of ordinary revenue, crowding out development spending. The structure of financing (short-term domestic instruments and external amortization cycles) compounds rollover and liquidity risks. The chart demonstrates that limited fiscal space, not insufficient policy intent, is the primary cap on transformative growth. (See Appendix 6 for full narrative analysis)

The Fiscal Deficit: Targets vs. Reality

The divergence between fiscal targets and actual outcomes is a structural feature of Kenya's public finances. The National Treasury's budgeted deficit for FY2025/26 is 3.9% of GDP (KSh 759.4 billion). But no major external assessment accepts this figure:

- **Moody's (January 2026):** Deficit near 6% of GDP, debt stable around 67%

- **S&P (August 2025):** Deficit 5.5% in FY2026, averaging 5.2% over FY2026–2028

- **Fitch (January 2026):** Deficit 5.8% in FY2026, citing rising interest costs, drought spending, social pressures, and security needs

- **IMF (implicit):** Revenue forecasts historically fall 1.0–2.0% of GDP below budgeted figures

The consistent pattern — budget deficit targets 2–3 percentage points below eventual outturns — reflects three structural problems: revenue collection consistently underperforms projections (reflecting the informal economy's dominance, tax exemption proliferation, and weak enforcement); expenditure is harder to compress than planned (especially personnel costs, security spending, and interest payments); and supplementary budgets routinely expand spending beyond original appropriations.

The Crowding-Out Mechanism

The fiscal arithmetic has direct consequences for the monetary and growth analysis in C1–C6. With 82% of gross borrowing planned from domestic sources and net domestic financing of KSh 545.8 billion in FY2025/26, the government is the dominant borrower in the domestic financial market. Banking institutions hold 45.1% of government securities; pension funds hold 28.8%. When the government borrows this aggressively, it absorbs savings that would otherwise be available for private sector credit, suppresses the transmission of monetary easing (banks can earn risk-free returns on government paper), and creates a "lazy banking" incentive where lending to government is preferred over lending to SMEs.

This crowding-out is the fundamental tension in Kenya's policy framework: the CBK is easing monetary policy to stimulate private sector credit growth, while the Treasury is borrowing domestically at volumes that partially offset that stimulus. The two arms of economic policy are working at cross-purposes. Capital expenditure — the component of government spending most directly linked to productive capacity — is at its lowest level in 20 years as a share of the budget. In the first seven months of FY2024/25, debt interest payments (KSh 585.6 billion) were already double development expenditure. In 2015, development spending was more than three times larger than debt interest.

The Rating Agency Convergence

The triple upgrade sequence in 2025–2026 represents a meaningful improvement in Kenya's sovereign risk perception:

- **S&P:** Upgraded to B (stable) — August 2025

- **Fitch:** Affirmed B- (stable) — January 2026

- **Moody's:** Upgraded to B3 (stable) from Caa1 — January 2026

The convergence around the B/B3/B- level signals that rating agencies view Kenya as having moved past the acute liquidity crisis of 2023–2024 (the KES freefall, Eurobond maturity panic, reserve depletion) into a more manageable — but still constrained — credit profile. Key drivers of the upgrades: FX reserves at $12.2–12.5 billion (5.3 months of import cover); successful $3 billion in Eurobond issuances in 2025; liability management that pushed the next major Eurobond maturity to 2030; narrower current account deficit (1.3% of GDP in 2024 from 5.2% in 2021); stable exchange rate; and declining domestic borrowing costs.

However, every rating agency explicitly caveats that the upgrade reflects reduced near-term default risk, not improved fiscal fundamentals. Debt affordability remains weak: interest costs exceed 30% of revenue, fiscal consolidation is limited, and political pressures constrain reform. The B/B3/B- level keeps Kenya firmly in "speculative grade" territory, with external debt amortizations of $2.5–3.0 billion per year through the rest of the decade and high sensitivity to changes in global financing conditions.

The SGR Debt Restructuring: A Chinese Innovation

One of the most consequential debt management developments has been the October 2025 currency swap agreement that converted approximately KSh 647 billion ($5 billion) of dollar-denominated Standard Gauge Railway (SGR) loans into yuan. This restructuring reportedly saved Kenya approximately KSh 21.5 billion on the January 2026 repayment alone by eliminating dollar conversion costs. The yuan now forms part of CBK's reserve composition — a structural shift that deepens Kenya's financial linkage with China but reduces dollar dependency for a significant portion of external debt. The CBK has added yuan to its national reserves, though Governor Thugge clarified the yuan portion is "not substantial" and does not constrain Kenya's ability to meet external obligations.

Theory Lens — C7.1: Debt Intolerance and the Fiscal Dominance Trap

> *Carmen Reinhart's "debt intolerance" hypothesis argues that countries with histories of fiscal mismanagement face debt distress at lower debt-to-GDP ratios than advanced economies because markets price in institutional weakness and enforcement uncertainty. Kenya's debt-to-GDP of 67.8% — manageable by OECD standards — is already generating distress signals (53% revenue-to-debt-service, capital expenditure at 20-year lows, constrained social spending) precisely because of the "intolerance premium" that reflects governance risk, revenue collection weakness, and the history of supplementary budget blowouts. The deeper risk is "fiscal dominance" — the regime where fiscal requirements override monetary policy independence. If the government's domestic borrowing needs become large enough, the CBK loses the ability to set interest rates independently because market rates are determined by government financing requirements rather than inflation targeting. Kenya is approaching but has not yet crossed this threshold. The declining domestic yields (T-bills below 8%) suggest the government can currently finance itself at lower rates — but this is a cyclical improvement driven by monetary easing, not a structural reduction in borrowing needs. If fiscal deficits remain at 5.5–6% of GDP while the economy grows at 5%, debt-to-GDP will continue to rise, eventually pushing Kenya closer to the fiscal dominance regime.*

C8 — EXTERNAL SECTOR: THE BALANCE OF PAYMENTS AND TRADE ARCHITECTURE

The Current Account: A Narrowing but Persistent Deficit

Kenya's current account deficit narrowed dramatically — from 5.2% of GDP in 2021 to 1.3% in 2024 — driven by the KES depreciation of 2023 (which compressed imports and boosted export competitiveness), stronger services surpluses, and higher remittance inflows. However, Q3 2025 data showed a significant widening: the deficit expanded to KSh 135.3 billion from KSh 43.5 billion in Q3 2024, driven by higher goods imports and lower coffee and cane exports. The CBK estimates (CBK, 2025) the full-year 2025 current account deficit at 2.4% of GDP, with stabilization at 2.2% projected for 2026–2027.

The Four Pillars of External Resilience

Pillar 1 — Diaspora Remittances ($5.04 billion in 2025): Kenya's single largest source of foreign exchange, surpassing tea, coffee, horticulture, and tourism combined. Remittances grew 1.9% in 2025 (slowing sharply from 18% in 2024, primarily due to a 25% drop in Saudi Arabia flows following labour reform). The US accounts for 54.2% of flows ($2.73 billion). The CBK projects (CBK, 2025) 4% growth to $5.24 billion in 2026, contingent on Saudi market recovery. The government is developing a Diaspora Investment Strategy (2025–2030) and exploring a diaspora bond ($200–500 million), which would convert remittance flows into long-term investment capital. Remittances are structurally resilient — they persisted through COVID, the 2023 KES crisis, and the 2024 political turbulence — making them Kenya's most reliable external buffer.

Pillar 2 — Agricultural Exports: Horticulture, tea, and coffee collectively generate approximately $3–4 billion annually in export revenues. Horticulture (especially cut flowers) is the structural growth story — Kenya supplies roughly 38% of the EU's cut flower imports. Tea faces volume and price headwinds (output fell 11% in 2025; global beverage prices projected to decline 7% in 2026). Coffee remains high-value but volatile. The EU Economic Partnership Agreement (ratified April 2024) secures duty-free market access, providing a stable trade framework that partially insulates Kenya from the US tariff disruption.

Pillar 3 — Tourism: International visitor arrivals grew 9.9% in Q3 2025 (to 578,234 passengers through JKIA and Mombasa). Tourism receipts are recovering toward pre-pandemic levels but remain sensitive to source-market economic conditions (UK, Germany, US) and security perceptions. CHAN co-hosting in 2025 provided a boost; the 2027 election cycle introduces potential political instability risk for 2026–2027 bookings.

Pillar 4 — FX Reserves ($12.46 billion, 5.37 months of import cover as of January 2026): This is Kenya's strongest external position in recent history. Reserves grew 36% from $9.2 billion in early 2024, supported by Eurobond proceeds, CBK dollar purchases, and strong current account inflows. At 5.37 months of import cover, Kenya comfortably exceeds the CBK statutory requirement (4 months) and the EAC convergence criterion. However, reserves adequacy depends on maintenance: external debt amortizations of $2.7–4.9 billion per year (FY2026–2028) and the current account deficit require continuous inflow replacement.

The AGOA Crisis and Trade Reconfiguration

The expiration of AGOA on September 30, 2025 — followed by a one-year retroactive reauthorization through December 2026 in the Consolidated Appropriations Act — created profound uncertainty for Kenya's US-facing export sectors. AGOA provided duty-free access for approximately 7,000 product lines, most critically textiles and apparel ($472 million in 2023 US imports from Kenya, approximately 70% of Kenya's textile exports). The third-country fabric provision was essential for Kenya's export processing zone (EPZ) garment factories.

The current situation: AGOA is reauthorized through December 2026, but the Trump administration's "reciprocal" tariffs (10% on Kenya, versus 0.3% previously) apply regardless of AGOA status. Kenya is negotiating a bilateral trade agreement with the US, but no such talks have been publicly announced by the Trump administration. AGOA's long-term status after 2026 remains deeply uncertain.

The impact: approximately 66,000 jobs in Kenya's textile and apparel sector are exposed. Paradoxically, Kenya's 10% tariff rate makes it relatively more competitive against Asian competitors facing 36–56% tariffs (Bangladesh, Vietnam, India, China). This could create a short-term opportunity for Kenya to capture market share in US apparel imports — but only if AGOA's fabric-sourcing flexibility is maintained and investors are confident in the trade framework's durability.

Kenya's trade architecture is diversifying in response: the Kenya-EU EPA provides a stable European anchor; exports to China are growing (though from a small base); and intra-African trade under AfCFTA offers long-term potential but requires infrastructure and regulatory harmonization that remains years away.

The KES: Stability vs. Competitiveness

The KES has traded in a remarkably narrow band — KSh 127.6 to KSh 130.0 per USD in 2026 year-to-date — following the dramatic swing from KSh 160 (January 2024) to KSh 129 (mid-2024). Governor Thugge has explicitly dismissed fears of depreciation, citing balance of payments surpluses projected for 2026 and 2027, record remittances, and strong reserves.

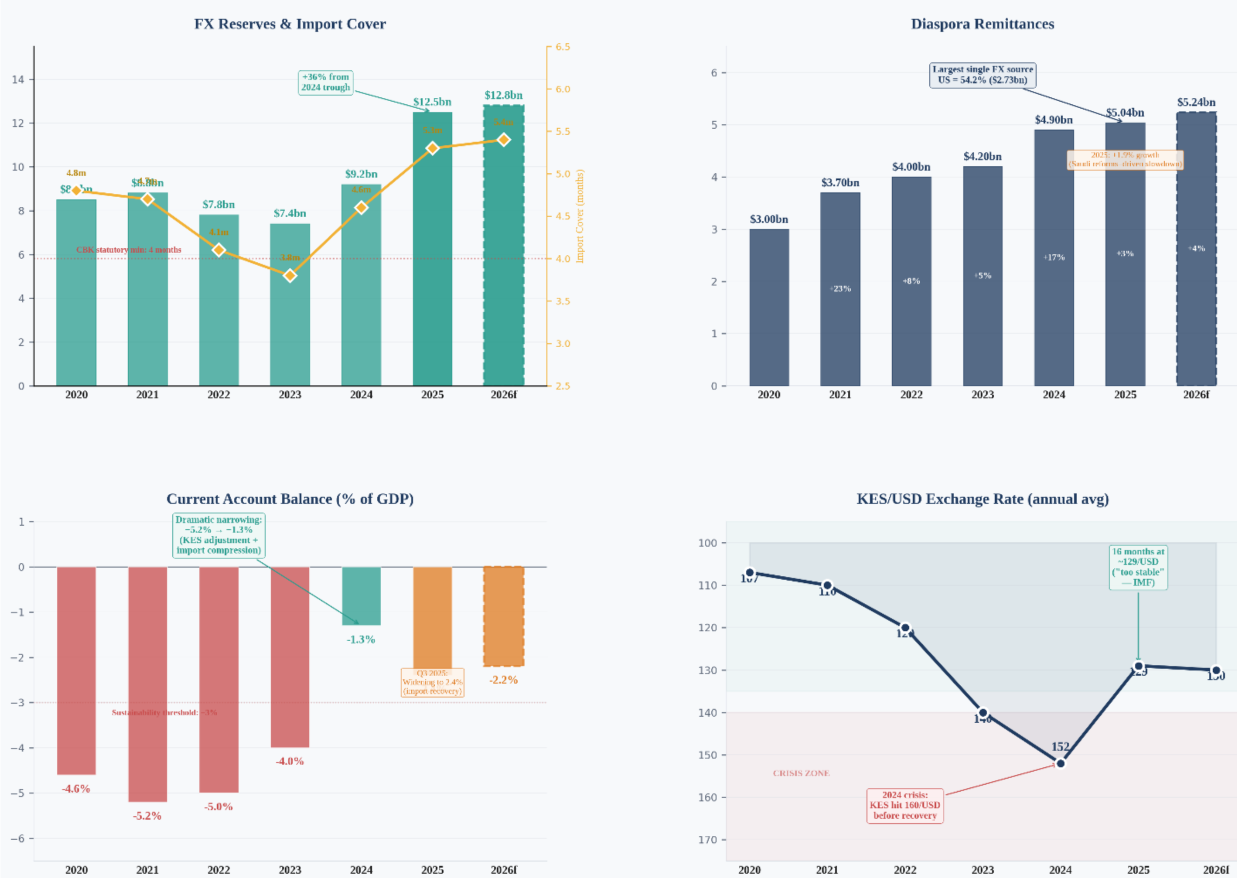
However, two tensions exist. First, the IMF's concern that the KES is "too stable" — that the CBK's dollar purchases are suppressing appreciation that would otherwise occur, creating an implicit exchange rate target rather than a market-determined float. If the CBK is managing the rate, it is sacrificing some monetary policy transmission (as discussed in C6's Theory Lens). Second, some analysts project moderate depreciation toward 134/USD in 2026 as import costs rise and external debt payments intensify. The SGR yuan conversion reduces but does not eliminate dollar demand for external debt service.

Our assessment: the KES remains stable at 128–131/USD through H1 2026, supported by remittances, BoP surplus, and reserves. The risk of a disorderly move arises only under a combination scenario: EM risk-off event + oil price spike + failed rains simultaneously. Probability: 10–15%.

FIGURE C8.1

Kenya's External Position Dashboard: Reserves, Remittances, Current Account, KES/USD

Annual Data, 2020–2026 | CBK Weekly Bulletins, KNBS Balance of Payments Reports



VERDICT: Strongest external position in a decade. Reserves $12.5bn (+36%), remittances $5bn (largest FX source), CA narrowed to −2.2%, KES stable at 129. Buffer capacity exists — but consumed by debt service, not deployed for development.

Sources: CBK Weekly Bulletin (February 2026); KNBS Balance of Payments Reports; CBK Diaspora Remittance Survey (January 2026). 2026f = report base-case projection.

This four-panel dashboard presents the most compelling evidence for the "stabilisation" half of the report's "fragile stabilisation" thesis. Across every external metric, Kenya's position in 2025–2026 represents a dramatic recovery from the 2023–2024 crisis — indeed, the strongest external footing in a decade.

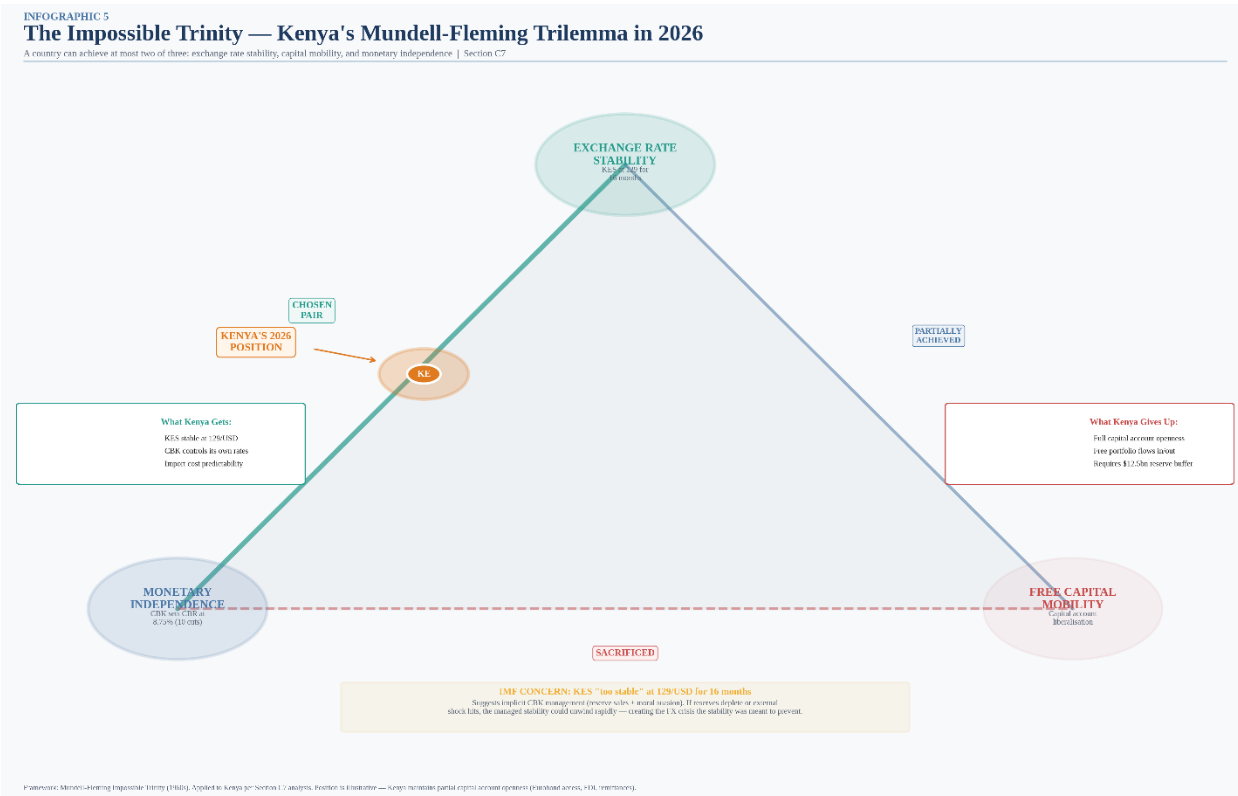
FX Reserves (top left) tell the recovery story most starkly. From a low of $7.4 billion in 2023 (3.8 months of import cover, barely below the CBK's 4.0-month statutory minimum), reserves surged 36 percent to $12.5 billion by end-2025 (5.3 months of cover), supported by Eurobond proceeds, CBK dollar purchases, and strong current account inflows. The amber diamond line tracking import cover months shows the CBK now has comfortable headroom above its minimum threshold — a buffer that simply did not exist during the 2023 Eurobond maturity panic.

Diaspora Remittances (top right) confirm Kenya's most structurally resilient external pillar. At $5.04 billion in 2025, remittances surpassed tea, coffee, horticulture, and tourism combined as the single largest FX source. The growth rate decelerated sharply from 17 percent (2024) to just 1.9 percent (2025), driven by a 25 percent drop in Saudi Arabia flows following labour reforms — a concentrated geographic risk the government is attempting to address through the Diaspora Investment Strategy. The US accounts for 54.2 percent of flows ($2.73 billion), making US economic conditions and immigration policy material variables for Kenya's external balance.

Current Account (bottom left) shows the most dramatic improvement: a deficit that narrowed from −5.2 percent of GDP in 2021 to just −1.3 percent in 2024, driven by KES depreciation (which compressed imports and boosted competitiveness), stronger services surpluses, and higher remittance inflows. The colour gradient shifts from deep red (above 3 percent deficit) through orange to green (below 2 percent) — visually confirming the structural improvement. However, the 2025 widening to −2.4 percent (orange annotation) signals that the favourable adjustment is partially unwinding as import demand recovers, and the 2026 projection of −2.2 percent represents stabilisation rather than continued narrowing.

KES/USD (bottom right) captures the currency crisis and recovery in a single arc: from 107 in 2020 through the crisis zone (red shading) at 140–152 in 2023–2024, then the extraordinary snapback to 129 where the shilling has traded for sixteen consecutive months. The IMF annotation — "too stable" — captures the institutional tension: the CBK appears to be implicitly managing the rate through dollar purchases, creating exchange rate stability at the potential cost of suppressed monetary transmission (as explored in the Mundell-Fleming theory lens in Section C6).

The verdict box at the bottom synthesises: the external position provides genuine buffer capacity that did not exist during the 2023–2024 crisis. But that buffer is being consumed by annual external debt amortisations of $2.7–4.9 billion rather than deployed for developmental investment — the structural constraint that separates stabilisation from transformation.



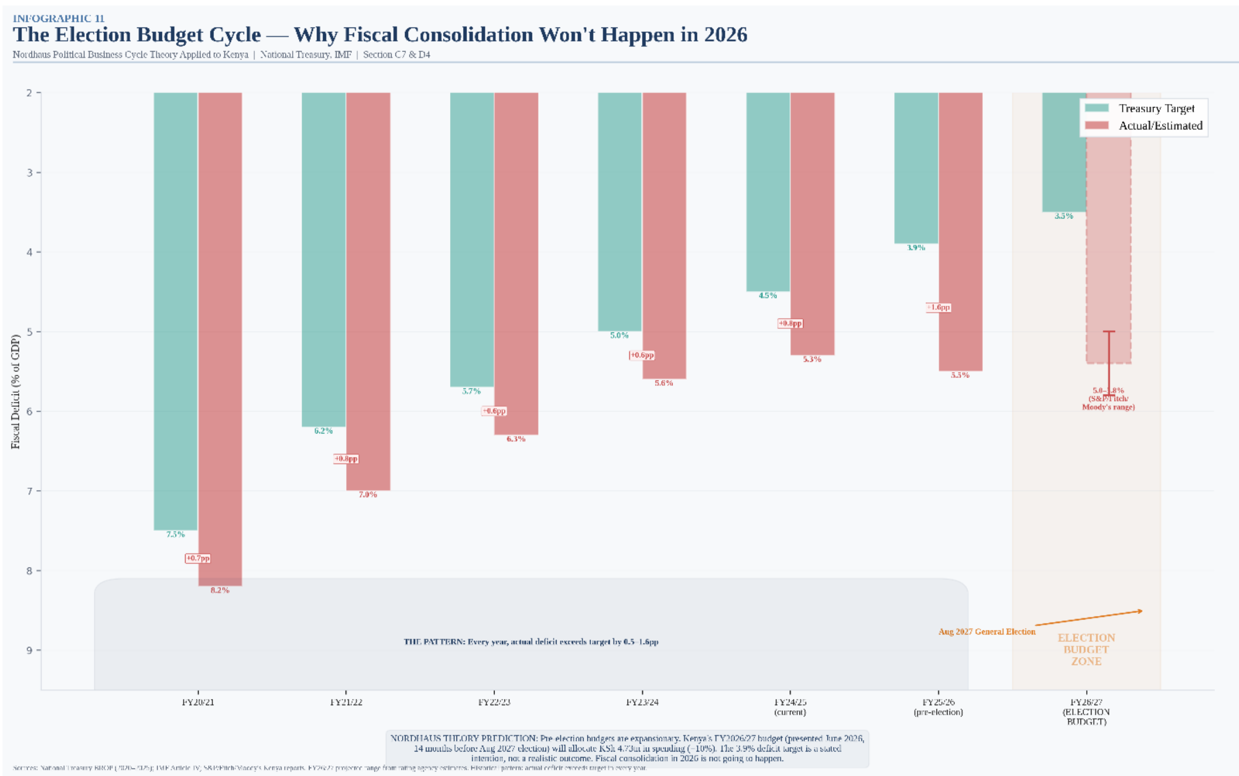
This figure shows Kenya's revealed macro policy choice under the Mundell-Fleming trilemma: prioritizing exchange-rate stability and monetary autonomy while accepting only partial capital mobility. By stabilizing the shilling around 129/USD, policymakers anchor inflation expectations and import costs, but must maintain sufficient reserve buffers to absorb external shocks. The trade-off clarifies that apparent currency calm is an equilibrium sustained by reserves, credibility, and managed openness—not frictionless markets. (See Appendix 7 for full narrative analysis)

C9 — POLITICAL ECONOMY: THE 2027 SHADOW

The Election Cycle as Macro Variable

Kenya's 2027 general election — now eighteen months away — is not merely a political event but a macroeconomic variable that will shape fiscal policy, monetary policy transmission, investment decisions, and institutional reform momentum throughout 2026. The pattern is well-documented: IMF research consistently identifies "election-year fiscal slippages" across Africa, and Kenya's own history confirms aggressive pre-election spending, rushed infrastructure launches, and expansionary fiscal policies in the 12–18 months before polls.

President Ruto faces a complex political calculus. His approval ratings in urban areas remain soft, food prices are biting, youth unemployment (estimated 40–67% depending on definition) drives ongoing discontent, and the Gen Z protest movement that stormed Parliament in June 2024 demonstrated that the political cost of unpopular fiscal measures can be immediate and violent. The 2024 Finance Bill withdrawal — after dozens of protesters were killed in police response — effectively destroyed the government's ability to pursue meaningful revenue mobilization through new taxes. The collapse of the IMF extended credit facility (ECF/EFF) in March 2025, when the Fund declined to disburse the ninth and final review citing insufficient progress on fiscal and debt targets, eliminated $850 million in concessional financing and delayed approximately $750 million in World Bank support.



This figure shows the recurring divergence between fiscal targets and outcomes during election cycles. As political incentives intensify ahead of 2027, spending pressures widen deficits beyond stated consolidation paths. The pattern aligns with political business cycle theory: fiscal restraint weakens when electoral competition rises. The implication is that 2026 consolidation targets face structural credibility challenges. (See Appendix 8 for full narrative analysis)

The Fiscal-Political Trap

The trap is precise: Kenya needs fiscal consolidation to stabilize debt dynamics and maintain creditor confidence, but every revenue-enhancing measure (tax increases, subsidy removal, spending cuts) carries political costs that the government is unwilling to bear in a pre-election period. The result is a fiscal policy that promises consolidation in medium-term projections while delivering expansion in actual budgets. The FY2026/27 draft budget projects KSh 4.73 trillion in spending — a near 10% increase — even as falling tax revenues force a larger deficit and increased borrowing.

Ruto's political strategy rests on three pillars: (1) coalition expansion — formalizing the UDA-ODM partnership to secure a broad ethnic and regional base; (2) opposition fragmentation — the death of Raila Odinga removed the opposition's most formidable figure, and former Deputy President Gachagua's challenge from within the Kikuyu community creates division; and (3) visible delivery —

the Affordable Housing Programme (720,000+ registrations on Boma Yangu), TaifaCare health initiative (23.7 million enrolled), and infrastructure projects tied to the 2027 timeline. Each of these pillars has fiscal implications: coalition maintenance requires patronage spending; opposition management requires political allocation of resources; and visible delivery requires capital expenditure front-loading.

The implication for the economic outlook: fiscal consolidation will not occur in 2026. The deficit will settle in the 5.0–5.8% of GDP range (consistent with rating agency forecasts), not the 3.9–4.5% the government targets. Domestic borrowing will remain elevated, maintaining the crowding-out pressure on private sector credit. Capital expenditure will be selectively increased in politically visible projects while recurrent spending proves downwardly rigid.

The IMF Negotiation Dynamic

Kenya is pursuing a new IMF program to replace the collapsed ECF/EFF. An IMF team visited Nairobi in January 2026 to begin discussions. The negotiation dynamic is fraught: Kenya needs IMF endorsement to access concessional financing and signal policy credibility to markets, but the conditions the IMF typically requires (revenue mobilization, deficit reduction, subsidy reform) are precisely the measures that triggered the 2024 protests. The government will likely seek a program with conditions that are achievable without politically toxic tax increases — focusing on expenditure efficiency, tax administration improvement, and medium-term structural reforms rather than headline tax rate changes. Whether the IMF accepts a softer conditionality package is uncertain; past experience suggests the Fund will require more than Kenya's political economy can deliver in an election year.

Theory Lens — C9.1: The Political Business Cycle

> *William Nordhaus's political business cycle model predicts that incumbent governments expand fiscal policy before elections (stimulating growth and employment) and contract after (correcting the resulting imbalances). In Kenya, this pattern is amplified by ethnic coalition dynamics: pre-election spending is not merely expansionary in aggregate but targeted geographically to reward allies and attract swing voters. The fiscal cost of Kenya's political business cycle is estimated at 1.0–1.5% of GDP in additional spending in election years — spending that is rarely reversed post-election because the resulting commitments (government jobs, infrastructure contracts, social programs) create permanent fiscal obligations. For 2026, this implies that the actual fiscal deficit will be structurally higher than the "objective" fiscal position would require, and that institutional reforms (anti-corruption, revenue administration, public procurement efficiency) will advance at a pace dictated by political tolerability rather than economic necessity. The 2027 election is not just a risk to the forecast — it is a feature of the forecast.*

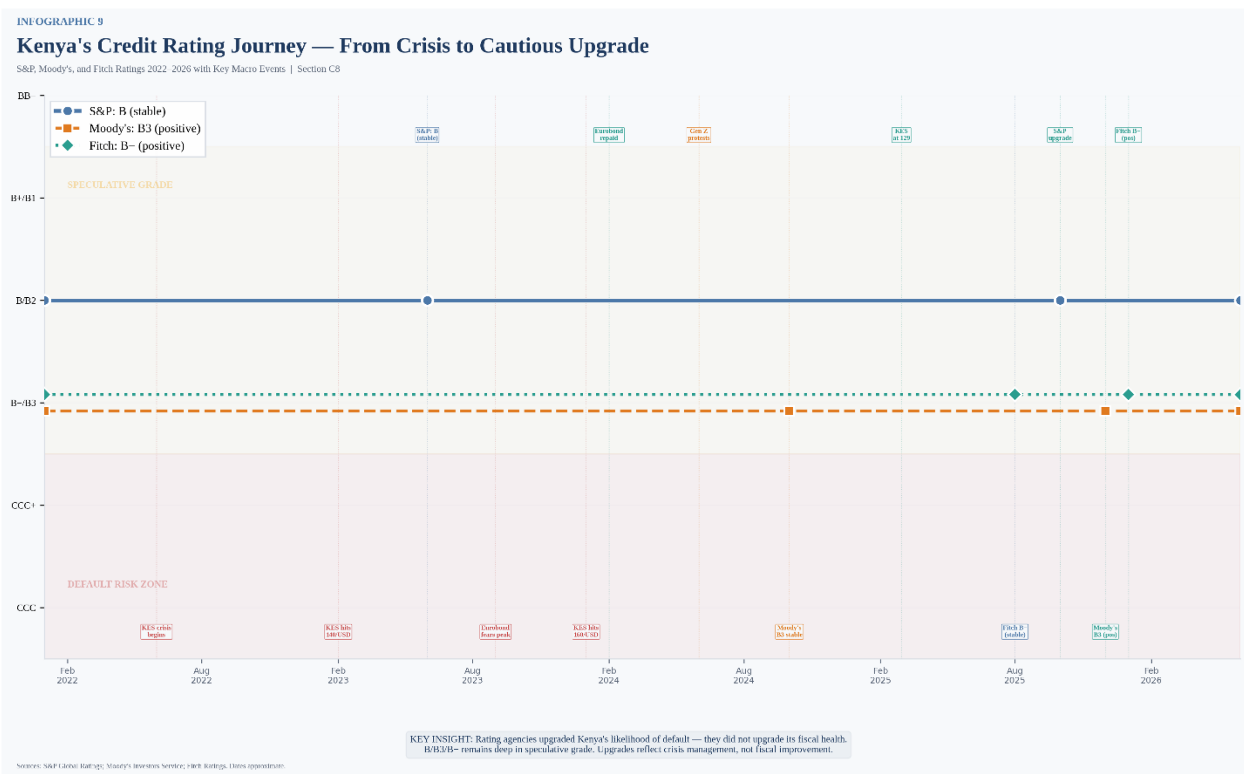
C10 — DOMESTIC SYNTHESIS: FRAGILE STABILIZATION CONFIRMED

The Integrated Assessment

Section C has examined Kenya's domestic economy through ten lenses — growth decomposition, agriculture, industry, services, inflation, monetary policy, fiscal/debt dynamics, external balance, and political economy. The integrated picture confirms and refines the "fragile stabilization" thesis introduced in Section A.

What Is Working

Macroeconomic stability metrics are genuinely improved. Inflation at 4.4% (within target), the KES at 129/USD (16 months of stability), reserves at $12.5 billion (historic high), credit rating upgrades from all three agencies, and a balance of payments surplus — these are not cosmetic improvements. They represent a meaningful recovery from the 2023–2024 crisis (inflation at 9.6%, KES at 160, reserves at 3.8 months, Eurobond default fears). The CBK's monetary policy management has been skillful, and the debt management strategy (Eurobond issuances, SGR yuan conversion, liability management) has been creative and effective in smoothing the external maturity profile.



This figure shows Kenya’s transition from acute liquidity stress to cautious stabilization in sovereign risk perception. Rating upgrades reflect reduced default probability and improved near-term financing conditions—not a structural improvement in fiscal sustainability. The country remains in speculative grade, signalling that crisis management has succeeded, but long-term debt dynamics still require consolidation. (See Appendix 9 for full narrative analysis)

The external position is the strongest it has been in a decade. Remittances above $5 billion, reserves above $12 billion, a narrower current account deficit, and successful capital market access give Kenya genuine buffer capacity. The oil price tailwind ($58–60/bbl) provides additional support through reduced import costs.

Services-led growth provides a stable (if narrow) foundation. Financial services, ICT, transport, and trade continue to expand at 4.5–6.5%, providing 2.5–2.8 percentage points of annual GDP growth from a diversified, relatively climate-resilient base. The digital economy and M-Pesa ecosystem remain globally distinctive competitive advantages.

What Is Fragile

Growth composition is structurally problematic. The economy produces GDP gains without proportional employment gains (Okun's Law (Okun, 1962) disconnect). Manufacturing's secular decline means Kenya is not building the industrial capacity needed for structural transformation. Agriculture's climate dependency introduces binary risk through rainfall outcomes.

Monetary transmission is incomplete. The 425bp of cuts have produced genuine but inadequate relief for borrowers. Commercial lending rates at 14.8% remain restrictive for most SMEs and consumers. The RBCPM reform is promising but untested. The crowding-out from government domestic borrowing partially offsets the easing impulse.

Fiscal space is exhausted. With 53% of revenue going to debt service, capital expenditure at 20-year lows, and deficits structurally above 5% of GDP, the government cannot meaningfully invest in growth-enhancing public goods (infrastructure, education, healthcare) without borrowing more — which worsens the very debt dynamics it needs to improve. The political business cycle will prevent fiscal consolidation in 2026.

The food inflation-political stability nexus is the most volatile risk. Food inflation at 7.3% is a lived experience that contradicts the "controlled inflation" narrative. The failed short rains (shortest October-December season since 1981) have already pushed up staple prices. If the March-May 2026 long rains also disappoint, food inflation could spike above 10%, forcing impossible policy choices (tighten monetary policy and kill the credit recovery, or maintain easing and risk inflation expectations de-anchoring). This is the scenario where "fragile stabilization" breaks.

AGOA uncertainty threatens the export manufacturing base. The one-year extension through December 2026, combined with 10% Trump tariffs, creates a limbo for the 66,000-strong textile workforce. Without long-term trade certainty, investment in export manufacturing capacity will stall.

The Five Domestic Risk Cascades

1. **The Climate-Inflation-Monetary Cascade:** Failed long rains → agricultural contraction → food inflation spike → CBK forced to pause/reverse easing → credit recovery stalls → growth falls below 4.5% → fiscal deficit widens → debt dynamics deteriorate → rating agencies put outlook on negative. **Probability: 15–20%. Impact: High.**

2. **The Fiscal-Crowding-Transmission Cascade:** Pre-election spending → deficit at 6%+ of GDP → elevated domestic borrowing → crowding out of private credit → monetary transmission neutralized → growth stagnates despite low policy rates → unemployment/underemployment fuels social unrest. **Probability: 30–40%. Impact: Moderate.**

3. **The External Shock Cascade:** EM risk-off event (Fed hawkish pivot, geopolitical escalation) → EM spread widening → Kenya's B3/B-/B rating puts it in the most sensitive segment → capital outflows → KES pressure → CBK forced to defend currency (sell reserves, halt easing) → growth impact. **Probability: 15–20%. Impact: High.**

4. **The Trade-Employment Cascade:** AGOA expires permanently → 10% tariffs become baseline → EPZ garment factories lose competitiveness → 66,000 jobs at risk → concentration in low-income female workers → social and political fallout. **Probability: 25–30%. Impact: Moderate-High (concentrated).**

5. **The Political Instability Cascade:** 2027 election tensions escalate → Gen Z protests resume → investor confidence deteriorates → FDI inflows decline → security spending rises → tourism bookings fall → external position weakens. **Probability: 15–25%. Impact: Moderate.**

The Convergence Assessment

Synthesizing Sections B and C:

Channel	Global (Section B)	Domestic (Section C)	Net Assessment
Growth	Global 3.3%, uninspiring	Kenya ~5.0%, services-led	Marginally positive — Kenya outperforms global average but composition is weak
Inflation	Global disinflation (3.8%)	Headline 4.4% controlled; food 7.3% elevated	Mixed — oil tailwind helps, food risk dominates
Monetary	Fed paused, 0–2 cuts	CBK easing, 425bp cumulative, transmission incomplete	Supportive but constrained by fiscal crowding
Fiscal/Debt	EM spreads tight, constructive	Deficit 5–6%, debt 67.8% GDP, interest >30% of revenue	Fragile — improved market access masks structural weakness
External	Oil $58–60 (tailwind), trade 0.5% (headwind)	Remittances $5bn, reserves $12.5bn, CA widening	Positive — strongest external position in a decade
Political	AGOA uncertain, US tariffs	2027 election → fiscal expansion, reform delay	Negative — political cycle overrides economic rationality
Climate	La Niña, benign global food prices	Failed short rains, critical long rains ahead	High risk — single most important near-term variable

Net domestic assessment: Fragile stabilization confirmed. The economy is stabilizing, not transforming. The macro metrics are improved; the structural metrics are stagnant or deteriorating. The political cycle will prevent the fiscal consolidation needed to create space for investment-led growth. The external position provides buffer capacity that did not exist in 2023–2024, but that buffer is being consumed by debt service rather than deployed for development.

The 2026 Thesis Statement (Refined)

> *Kenya's 2026 economic outlook is one of fragile stabilization within a mildly supportive global environment. Growth of approximately 5.0% is achievable but rests on a narrow foundation: services and agriculture carrying a limping industrial sector, monetary easing struggling to transmit through a cautious banking system burdened by NPLs and government crowding-out, and fiscal consolidation promises colliding with pre-election imperatives. The external position is the strongest in a decade, providing genuine buffer capacity. But the convergence of La Niña climate risk, AGOA trade uncertainty, the 2027 election cycle, and compressed EM spreads creates asymmetric downside: the macro framework can absorb one shock but not a combination. Kenya's 2026 outcome will be determined primarily by two variables — the March-May long rains and the fiscal discipline (or lack thereof) in the FY2026/27 budget — operating within the narrow band of external conditions established in Section B. The central scenario is continued 5% growth with controlled headline inflation and stable external metrics; the risk scenario is a climate-fiscal-political cascade that breaks the stabilization narrative and returns Kenya to crisis management. The probability-weighted outcome is modestly positive, with a skew toward downside surprises.*

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